Tata Capital (TATACAP)

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Call: Nov 2025

November 3 , 2025

To,
The Listing Department
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400001
Scrip Code: 544574
To,
The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051
Symbol: TATACAP

Dear Sir / Madam,

Sub.: Transcript of Earnings C onference c all for the quarter and half year ended September 30, 2025

Ref.: Tata Capital Limited ("Company")

We wish to inform you that pursuant to Regulation s 30 and 46 of the S ecurities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, the transcript of the Earnings C onference c all held on October 28, 2025, in relation to the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025, is enclosed herewith.

The same is available on the website of the Company at below link:

https://www.tatacapital.com/about -us/investor -information -and-financials.html

We request you to take the above on record.

Thanking you,

Yours faithfully,

For Tata Capital Limited

Sarita Kamath
Chief Legal and Compliance Officer & Company Secretary

Encl.: as above

"Tata Capital Limited Q2 FY26 Earnings Conference Call"

October 28, 2025

MANAGEMENT : MR. RAJIV SABHARWAL , MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA CAPITAL LIMITED
MR. RAKESH BHATIA , CHIEF FINANCIAL OFFICER –
TATA CAPITAL LIMITED
MR. SANDEEP TRIPATHY , HEAD OF STRATEGY AND
INVESTOR RELATIONS – TATA CAPITAL LIMITED
MODERATORS : MR. VIRAL SHAH – IIFL CAPITAL LIMITED

Moderator : Good day, ladies and gentlemen, and welcome to the Tata Capital Limited Q2 FY '2 6 Earnings Conference Call , hosted by IIFL Capital Limited .

As a reminder , all participant s' lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Viral Shah from IIFL Capital Limited. Thank you and over to you, Mr. Shah.

Viral Shah: Yes, hi. Thank you, Rituja. Good evening, everyone. This is Viral Shah from IIFL Capital. Welcome to the Q2 FY '2 6 Earnings Conference Call of Tata Capital Limited. On behalf of IIFL Capital, I would like to thank the Management Team of Tata Capital Limited for giving us this opportunity to host the call.

From the Management Team today, we have Mr. Rajiv Sabharwal , Managing Director and CEO, Mr. Rakesh Bhatia, Chief Financial Officer, Mr. Sandeep Tripathy , Head of Strategy and Investor Relations, and other senior members of the Management Team.

We will have opening comments from the Management team, post which we will open the floor for Q&A.

With that, I would like to transfer the call to Rajiv for his opening remarks. Over to you, sir.

Rajiv Sabharwal: Thank you, Viral. And thank you everyone for joining the call. Good evening to everyone. This marks our first earning call post listing , and I would like to extend my heartfelt appreciation to each one of you for joining us today.

This clearly is an exciting new chapter in Tata Capital's journey, one that I am deeply honored to lead. The company's financial results along with the investor presentation have been uploaded on both the NS E and the BS E websites.

Let me start with a brief overview of the macroeconomic environment in which we operate :

The Indian economy continues to exhibit strong resilience and broad -based growth momentum across sectors. With inflation easing and remaining within RBI's comfort zone, the recent repo cuts underscore a supportive monetary stance.

This coupled with the Government's proactive measures including the GST rationali zation, improving consumption trends, a gradual revival in the rural sentiment and the sustained public as well as private capital expenditure are expected to collectively provide an impetus to the credit

demand over the next couple of quarters. This context is particularly relevant , given that what we saw on credit offtake over the last 18 months. Over the last 18 months, while the secured loan growth was strong, we witnessed moderation in credit offtake across unsecured loans, microfinance and the commercial vehicle financing segments.

While industry trends improved in Q1 of the current financial year, Q2 did not carry the same momentum. However, with GST cuts, it showed a marked improvement in the last week of Q2.

I am confident that this momentum will strengthen further in the second half of FY'26, supported by easing liquidity conditions, lower cost of funds, improving asset quality in these segments and renewed demand across both Retail and Corporate .

We believe the operating environment for NBFCs remains strong, with rising borrower confidence, healthy demand across Retail , SME and Housing segments and a low interest rate outlook providing tailwinds for growth.

At Tata Capital, we have built a differentiated model and are well positioned to leverage these favorable trends supported by several pre -differentiators. We have an experienced management team which has seen business cycles. The senior team has been stable and with almost nil attrition over the last 6 years.

A very well diversified suite of 25 + lending products that help us manage growth and quality better. The mix of products do help us to decide which products to accelerate or where to go conservative , depending on the market scenario. For example, during COVID, when we saw that the high -touch businesses of Retail could not grow, we could look at SME and Corporate helping us on the growth journey. And when things opened up post -COVID, we could accelerate Retail more , so that we could take advantage of the opportunity which existed.

Similarly, while over the last 18 months when we saw some amount of stress in the Retail unsecured side, we could accelerate our growth in the Secured Retail , Housing and SME segment , so that our overall growth never got impacted.

We also saw in Q1 some amount of slowdown in the supply chain financing side. However, that too did not impact our growth because we had many engines which could support our growth journey.

Each business of ours is of scale, makes money , and each business leader there strives for best -in-class metrics. For example, in the housing finance company , we have the industry -leading RoA s and ROEs. Similarly, when we talk about Cleantech business, where we have financed over 500 projects, we have the best return metrics along with the least NPAs in the whole industry. This is a similar approach which we have followed in each business and we are proud of what we have created in each one of them.

The strong brand trust which the Tata brand enjoys , helps us in keeping us in good stead both for our lenders as well as our borrowers. We enjoy the highest credit ratings, AAA on the

domestic side and BBB with a stable outlook on the international side with a well -diversified liability profile and strong capital base. This helps us in keeping our cost of borrowings low.

We follow a prudent risk before growth approach , leading to one of the best credit costs in the industry. We have a high proportion of the secured loan book, Retail unsecured book forms just about 12% of our total book. We have a robust digital model with a pan -India branch infrastructure, more focused on Tier 2 and beyond markets.

Over the last 6 years, we have invested over INR 2,000 crores on our tech and digital journeys and work with the best -in-class principles. For example, in CRM, we work with Salesforce. On the data side, we work with Microsoft. For scoring and business rule engines, we work with FICO. The whole idea being to work with best -in-class players to create a robust IT platform. We have extensive use of digital and analytics , which drive superior credit underwriting and customer experience for us.

While we stay vigilant to the evolving regulatory landscape and external environment, our strategic focus remains clear to drive sustainable, profitable growth and further strengthen our leadership position in the NBFC sector.

With that context, I am pleased to present our Q2 performance which reflects both our progress and prudence as we navigate the environment . I will refer to specific sections of the investor presentation available on the exchanges and to provide better insights into numbers.

I will discuss the financial performance both on the consolidated basis and excluding Motor Finance business , the acquisition of which got completed on May 8, 2025. For p erformance snapshot refer to Slide 3.

Looking at the quarter gone by, our AUM stood at INR 2.16 lakh crores reflecting a YoY growth of 22% and a sequential growth of 4.1%. Profit after tax for Q2 was INR 1,128 crores registering a growth of 33% if I exclude the non -recurring income on account of an exit of PE investment in Q2 of last year. Sequential growth in profit was 10%. Credit cost for the quarter stood at 1.1% , marking a reduction of 30 basis points compared to Q1 of FY'26. This decline was broad -based covering all products. Net NPA remained at 0.6 % level, same level as the previous quarte

r, while

the return on assets for the business stood at 2.2%, a 20 basis points improvement over Y oY basis.

Including the Motor Finance business , our AUM stood at INR 2.44 lakh crores reflecting a sequential growth of 2.7% over previous quarter. Credit cost for the quarter stood at 1.3% , marking a reduction of 30 basis points compared to the previous quarter. Profit after tax for the quarter was INR 1,097 crores marking a sequential increase of 11%. The return on assets improved by 10 basis points to 1.9% compared to the previous quarter.

I will now walk you through our performance across 5 key themes , which will provide deeper insight into the business , followed by a summary of our technology and digital efforts. Post that

I will share an update on our housing finance subsidiary and the Motor Finance business and conclude with our outlook , both for FY'26 and our long -term strategic guidance.

1. Book Growth

On book growth, please refer to Slides 4, 14 and 15. With our comprehensive portfolio of 25 +

products, we have a unique advantage in catching trends early, being able to push disbursements at the right time in the right product , and manage overall book growth while maintaining a balanced risk -return profile.

From the end of Q2, growth across both Retail and Enterprise segments has started picking up as the benefits from GST cuts have started to materialize .

As alluded earlier, our AUM in the last quarter grew YoY by 22% with housing finance company growing at 30%. Retail and SME continue to contribute 88% of our total book.

Within Retail segments, I wanted to take the opportunity to give more color on our Affordable Housing finance . We have the fastest -growing Affordable Housing book among large housing finance companies and rank among the top 3 originators in terms of monthly volumes. Our average ticket size is about 12 lakhs there , and this business highlights our ability to adopt new product strategies and venture into deeper markets.

As of September '25, we had a robust presence with 1,479 branches , spread across 27 states and union territories . This along with our comprehensive digital capabilities has helped us effectively serve a fast -growing customer franchise of 7.7 million.

Looking ahead, we expect the growth momentum to strengthen in the second half of the year, targeting a full -year growth of 22 % to 25% for Tata Capital excluding Motor Finance and about 18% to 20% on a merged basis.

2. Asset Quality

The second theme which I would like to cover is on asset quality. For this, kindly refer to slides 5, 21 and 22. We have seen peaking of credit costs happening for us in Q1 of this financial year. From Q2 of this financial year, we have seen credit costs coming down across segments. This is on account of the credit interventions we have made over the last 18 months.

Credit costs have improved meaningfully, down 30 basis points on a consolidated basis from 1.6% in the previous quarter to 1.3% in Q2. Excluding Motor Finance , we have also seen a 30 -basis points reduction from 1.4% in Q1 to 1.1% in Q2.

Unsecured loan credit costs which had peaked in Q1 are now moderating. Credit costs for Motor Finance business have remained at similar levels as Q1 as we continue to strengthen collection efforts and align risk management practices with that of Tata Capital.

Tata Capital's gross NPA remains stable at 1.6%. On a consolidated basis, including Motor Finance , gross NPAs did increase by about 10 basis points to 2.2%. Provision coverage ratios remain healthy at 52.8%. There is a marginal drop in provision coverage ratio of 110 basis points which reflects the change in product mix. There has not been any dilution in provisioning policies.

Excluding Motor Finance , provision coverage ratio continues to be stable a

t 64%. Our total

INDAS provisions stand at 2.2 times the IRAC provision as on September '25 . Overall, asset quality remains robust , coverage is strong and credit costs are trending lower, underscoring the resilience of our portfolio.

Looking ahead, we expect credit costs to continue to moderate. For Tata Capital , excluding Motor Finance , we anticipate a full year credit cost to be in the range of 1 % to 1.1%. And including Motor Finance business , on a consolidated basis, we expect credit costs to be close to 1.2%.

3. Cost of Funds

The next theme I would like to cover is on cost of funds. Kindly refer to Slide 3 3. Our funding profile remains well diversified, stable and cost efficient, providing a solid foundation for growth. We continue to maintain a balanced mix of bank borrowings and market borrowings to manage liquidity risk effectively.

Cost of funds for the quarter stood at 7.4%, down by 47 basis points from Q4 of last year, reflecting the benefit of recent rate cuts and improved market conditions. We have also significantly increased proportion of market -linked bank borrowings over the past one year from 43% as on September '24 to 6 5% as of September '25.

Our liability franchise remains healthy, with strong relationships across banking partners and investors, ensuring ready access to both short -term and long -term funding.

In August, S&P Global Ratings upgraded our long -term rating to BBB stable, which will further enhance our revenues of funding and allow us to obtain funds at competitive prices. All this should enable us to support quality AUM growth , while maintaining prudent leverage and financial flexibility.

4. Margins

The next theme I want to talk about is on margins. We continue to operate in a stable NIM plus other income corridor of 6.5%. While we saw cost of funds coming down during the quarter, we also saw passing of the benefits of lower rates to existing as well as new customers, keeping margins at the same level.

Looking ahead, we see potential for margin expansion over the medium term as we continue to further optimi ze our product mix with increased share of high -yield products such as Affordable

Housing , secured business loans, et c. and increase our contribution from fee -based businesses as well as benefit from further lowering of funding costs.

5. Operating Leverage

Now I want to cover operating leverage. Our continued investments in technology, data infrastructure, branch expansion over the past 3 years have steadily improved our operating leverage. We are beginning to see efficiency gains in both productivity and turnaround times across businesses.

During the quarter, the cost to income did increase by 290 basis points compared to Q1, largely driven by our annual appraisal impact as well as the variable pay cycle, as well as some impact coming on account of one -time costs , because of the merger of Tata Motors Finance with Tata Capital.

For the year, we believe that the integration costs would be in the range of INR 100 crores. For the full year, we expect cost to income to reduce from 42% last year to 39% in this year, a reduction of approximately 300 plus basis points. We will continue to gain from our technology investments and expand distribution footprint, leading to further productivity improvements and stronger operating leverage going forward.

Commenting on our balance sheets, please refer to Slide 3 4. Our balance sheet remains well capitalized. As on September, our capital adequacy stood at 17.3%, with a healthy CET ratio post the IPO.

Tata Capital's capital adequacy ratio has strengthened by over 400 basis points to 21.5%. The IPO has also significantly improved our leverage profile, with debt -to-equity ratio reducing from 6.1 times in September prior to the issue to around 5 times now. This positions us well to fund growth while maintainin

g prudent gearing levels. As of September, our net worth stood at INR 35,081 crores, which grew to INR 41,777 crores post the IPO.

In addition, we continue to maintain a robust liquidity buffer with over INR 35,500 crores in cash equivalents or mutual funds, LCR investments and undrawn bank lines. Together, these factors reflect a strong, liquid and well -capitalized balance sheet, providing ample flexibility to pursue growth opportunities.

Now, a quick summary of our digital and technology efforts. Refer to Slide 41 to 45. At Tata Capital, our digital DNA defines who we are, a truly digital -first NBFC with technology at the core of how we think, operate and deliver value. We are transforming products and processes to create seamless, scalable and smarter journeys that empowe r our customers at every step. We are pivoting to an AI -led transformation, with multiple projects already in production across domains.

We use a multi -LLM architecture with vector databases and RA G pipelines to deliver intelligence to our leading workflows and customer journeys. We are also embedding AI deeply

in our analytics layer to enable conversational interfaces, AI -powered underwriting, intelligent task prioritization and automation, along with real -time insights.

With the customer at the core of everything we do, every product, experience and promise is designed around their needs and aspirations, something that truly resonates with our purpose. This approach extends across the entire lending chain.

Today, 97% of our customers are onboarded via digital platforms , 97% of our retail disbursements use scorecards or business rule engines , 98% of the customer queries addressable digitally , and 99% of our collections are processed through digital channels, a clear reflection of how our technology -led, customer -focused approach towards efficiency, scale and impact. As we continue to innovate, our technology and AI -driven initiatives remain central to building a future -ready, data -driven franchise.

A brief update on our Housing Finance Company

Kindly refer to Slides 25 to 27. We had another good quarter for our material subsidiary, Tata Capital Housing Finance Limited, with an AUM growth of 30% and profit after tax growth of 28% YoY . AUM stood at INR 75,636 crores, with major exposure towards prime and near - prime home loans. Tata Capital Housing Finance Limited continues to make good progress in terms of cost efficiency, with cost -to-income declining by 300 basis points, from 35.9% in Q2 of last year t o 32.9% in Q2 of this year.

TCHFL, being one of the largest housing finance companies in India, has consistently delivered best-in-class asset quality, with credit costs less than 0.1%, net NPA at 0.3% as of Q2. The combined result is one of the best -performing housing finance companies in the country, with an RoA of 2.4% and ROE of 18.5% for the quarter. We are optimistic on continuing with our strong performance in our housing finance company and reaching an AUM of about INR 1 lakh crores by middle of next financial year.

Motor Finance Business

Talking a little bit about the Motor Finance business, which is the merger of Tata Motor Finance. Kindly refer to Slide 29 to 31. Our current focus is on transforming and integrating the Motor Finance business with Tata Capital. While we have made progress across multiple areas, we are still on our journey towards the end -stage.

Between March '25 and September '25, due to continuing business transformation, the net loan book declined by INR 2,996 crores to INR 23,698 crores as of September '25 . While we believe this is transitional in nature, we remain confident that over a longer duration this business will strengthen our portfolio and contribute meaningfully to our overall profitability. We expect the loan book to stabili ze by Q4 of this year and start growi

ng from Q1 of next financial year.

During the first half of the year, we saw early arrival of monsoon and also monsoons extending for a longer period than normal. We also saw the early announcement of GST cuts , which led to

some amount of slowdown in sales till the GST cuts actually became effective. Because of monsoon, we also saw under -utilization of capacity in the commercial vehicle space. All these factors have led to a situation where slippages in credit costs have not shown distinct improvement vis -a-vis last year in absolute numbers.

As a business, we believe that our presence in the Motor Finance business is crucial to our growth , and we are confident of transforming this business into a 2% plus RoA business by FY'2 8.

I would like to now update you on the progress of the transformation . In terms of the business model, we are strategically pivoting towards a multi -OEM model. Non-Tata OEM share in our new commercial vehicle dispersals has increased from 0% in Q4 of last year to 13% in Q2 of this year. We are also focusing on increasing the share of used commercial vehicle s as well as the intermediate, medium and small commercial vehicle s and consciously decreasing the share of heavy commercial vehicle s in our portfolio. This has led to an improvement in disbursement IRRs from 12.8% in Q4 of last year to 13.4% in Q2 of this year.

With Tata Capital's superior credit rating, the erstwhile Tata Motor Finance borrowings saw a cost of fund reduction of 60 basis points. All variable rate borrowings have now been repriced. On absolute credit costs, we are moving towards a stable number, h owever in percentage term these metrics have shown an increase due to a decrease in the loan book.

We have taken steps to significantly strengthen credit underwriting and collections infrastructure. We are conscious of the environment and have been proactively monitoring the situation and taking the necessary steps.

On the operating efficiency side . We have rationalized over 90 branches in this quarter, consolidated manpower in common functions and support areas and are in the process of streamlining IT systems across both entities. The impact should be visible on the operating efficiency side from Q1 of next year.

Looking at all aspects, I expect the Motor Finance business to break even in Q4 of this year. Next year, we expect to be profitable over the full year with growing RoA s and we remain on track to achieve our targeted RoA of 2% by FY '28.

Guidance for the current year . Kindly refer to Slide 3 7. Looking ahead to FY'2 6, we remain confident in our ability to deliver sustained quality growth across all key metrics. We are targeting robust AUM growth supported by strong demand across retail, SME and Housing segments aided by a favorable macroeconomic environment and stable funding costs. Excluding Motor Finance , AUM growth is expected to be in the range of 22% to 25% , while on a merged basis it is expected to be 18% to 20%.

Asset quality is expected to remain resilient, underpinned by prudent underwriting practices, robust risk management and disciplined collections. We aim to close the year with credit costs at close to 1% to 1.1% excluding Motor Finance and around 1.2% on a merged basis.

Profitability will improve , driven by margin improvements, ongoing cost efficiency initiatives and declining credit costs as we see gradual turnaround of the Motor Finance business . We expect consolidated PAT growth of around 35% with RoEs of 13% to 14%. Exit RoA for Q4 of this year is expected to be 2.3% to 2.4% and excluding Motor Finance to be at 2.4% to 2.5%.

Now, coming to the 3-year guidance . Kindly refer to Slide 39 first and then to Slide 3 8. Before sharing the 3-year guidance, I wanted to take you through the last 3 years of Tata Capital'

s
performance. Over the last 3 years, we have grown our AUM at 30%, profits at 29%, kept credit costs at 0.6%, that's the average of last 3 years and RoA at 2.3%, again, the average of last 3 years. Over the next 3 years, we expect AUM to grow at 23% to 25%, cost to income to come down to 33% to 34%, credit costs to be below 1% and RoA s to be in the range of 2.5% to 2.7%.
Concluding my presentation, I woul d like to thank you once again for joining us today and for your continued interest in our journey. We believe we are firmly on track to strengthen our position as a leading and resilient franchise in the industry, combining strong growth with best -in-quality asset quality metrics and consistent returns.
We continue to target sustainable RoA s in the range of 2.5% to 2.7% , supported by a comprehensive and well -diversified portfolio and the strength of our balance sheet. As we look forward, our focus remains on disciplined execution, leading to long -term value creation for all our stakeholders.
We truly appreciate your trust and support and look forward to continuing our engagements today and in quarters ahead. That's all from my side. Me and my team will be happy to take any questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Yes. Hi, team . Thanks for a very detailed and comprehensive disclosure in the presentation. So, firstly, getting on to the guidance, so what you have indicated to get towards maybe by end of Q4, almost closer to 2.3 % to 2.4% RoA , and over a 3-year journey, maybe 2.5 % to 2.7 % odd. Would it be fair to assume that maybe credit cost may not be a big lever? Maybe there we are any which ways indicating a less than 1% guidance , both for Q4 as well as 3-year guidance. So, would the larger part of this RoA driver be the cost ratios and the fee income? Is that observation right or are there any more levers to take it up by say 30 to 40 odd b asis points from where we end in Q4?

Rajiv Sabharwal: So, actually, if you look at what we have been stating, it's going to be a combination of multiple things. The biggest contribution is going to come from NIM plus fee, which is going to be the largest contributor as far as expansion is concerned.
Along with that, we expect operating leverage to also play in and credit cost. We do believe that from where we will be at the end of FY'26 to where we will be at the end of FY'28, about 25 to 35 basis points will come from NIM plus fee, about 10 to 15 basis points will come from operating leverage, and about 15 to 20 basis points will come from credit cost. So, this is on the post-tax basis.
Kunal Shah: So, from FY'2 6, you said, for the full year?
Rajiv Sabharwal: Yes. So, we have stated that we will be about 2 % to 2.1 % in FY'2 6. Going from there to 2.5 % to 2.7 %, that's about 50 to 60 basis points. That's the bridge we have just stated to you.
Kunal Shah: Okay. So, credit cost, you are saying it will be 15 basis points , and for FY '2 6, we have indicated it is 1.2 %. So, maybe your assumption with respect to the steady -state credit cost, once we see the normalization of the Tata Motor Finance credit cost, would it be still like closer to maybe 0.9% to 1%, or do you expect it to settle even lower? Maybe by Q4, you have indicated it to be 0.8% to 0.9%, but maybe the larger part of the book is yet to season, and would there be a fair assumption on the steady -state credit cost of 0.9 % to 1%?
Rajiv Sabharwal: So, as far as seasoning of the book is concerned all the products in which we are present in, we have been there for a long period of time. So, we have seen business cycles in those products.
Motor F

inance was the new acquisition which happened , and where we got our final approvals in May of this year. If you look at our past numbers for the last 3 years, the average credit cost for the last 3 years for Tata Capital, excluding Motor Finance, was about 0.6 %. What we are saying is, as we move ahead, including Motor Finance, our credit cost will be less than 1 %. So, when I stated for FY'26, this number and compared it with FY'28, we still believe there is an opportunity for us to bring it down by about 15 to 2 0 basis points. On an overall basis, it will be less than 1 %, including Motor Finance.
Kunal Shah: Yes, sure. And one last question in terms of the movement in yields, if you can share how that has been during the quarter ? Cost of funds clearly like 30 -40 basis points of improvement, but how have yields moved during the quarter?
Rajiv Sabharwal: So, if you look at our NIM plus income, that has been steady at about 6.5 %. And as you know, we see in the market, there is a fair amount of competitive activity in the market. And we have also looked at how we can pass on the benefit of lower cost to our new customers too. So, our NIMs have been steady.
What we have stated is that over a period of time, we do expect these NIMs to grow and the growth there will accrue on account of three counts. One is obviously the shift which we are trying to make by increasing the proportion of high -yield businesses in our portfolio, some

amount of increase in fee income , and some further decrease in credit cost, which we expect in the rest of the year.

Kunal Shah: Thanks , and all the best.

Rajiv Sabharwal: Thank you, Kunal.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital . Please go ahead.

Shubhranshu Mishra: Hi, team. Good evening , and thanks for the opportunity. Just wanted to understand the growth guidance which you gave for 25 %. It is for FY'26 and FY'27? And also wanted to understand how we decompose this, as in which businesses would contribute majorly to this particular growth.

And second is, when we are talking about the credit cost improvement of around 15 to 20 basis points , what kind of write -offs are we factoring in FY'26 and FY'27? Thanks.

Rajiv Sabharwal: So, your first question was on growth.

Shubhranshu Mishra: Correct.

Rajiv Sabharwal: You know, talking about growth, for the current year, we have given a guidance on a consolidated basis of 18 % to 20 % and excluding Motor Finance of about 22 % to 25 %. We expect H2 of the current year to be better than H1 of the current year.

In terms of 3-year guidance, we have spoken about 23 % to 25 % growth rate. In terms of major products which will contribute, I will request my colleague , Rakesh , to talk about it and also then later talk about the write -offs.

Rakesh Bhatia: Yes. So, thank Rajiv , so I will add . So, as Rajiv mentioned, the growth in H2 will be better than H1. If you look at the H2 growth and deconstruct it, the contribution will come 37 % from the Home Loan and the LAP business ; around 21 % from the SME business ; around 18 % from the Corporate business ; and Retail business will contribute around 25 %. We expect Motor Finance to be flattish.

Rajiv Sabharwal: And in terms of credit costs, as mentioned to you, we will see , compared to where we are, we still believe there is an opportunity for us over the medium term to come down by about 15 to 20 basis points. And I could not understand what you wanted to know from write -off, because currently what we do as a write -off is only for assets which are fully provisioned. So, that really does not impact the credit costs, Shubhranshu .

Shubhranshu Mishra: And just growth guidance that you gave , that was for H2, the contribution, how about FY'27? What would be the major contributors in FY'27?

Rajiv Sabharwal: So, we have not given an exact guidance on the product per se, but I will talk about the ones which will be in terms of growth, the larger segments for us. Clearly, they will be Housing business, which has continued to grow at over 30 % if you look at the past few years. We also expect the growth to be robust in Retail and SME.

Corporate also has been doing well for us, especially the Emerging and Mid-Corporate businesses. But in terms of , if I have to put the pecking order of growth, they will be Housing followed by Retail, followed by SME, and I would say Emerging and Mid-Corporate to be at a similar level .

Shubhranshu Mishra: Understood. And if I can just slip in one last question, the business mix at an A UM level will also move towards Housing in that case, if the Housing is growing at a faster clip over the next 3 to 4 years?

Rajiv Sabharwal: So, there may be a shift of 1% or 2%, but you know what we have also seen is a fair amount of activity on the balance transfer side . And also , we have seen that a lot of good customers pre-pay their loans also. So, in terms of mix, we expect the mix to be broadly similar. It may move up by a percentage or 2 in favor of the Housing business, but not a significant shift from where we are.

Shubhranshu Mishra: Thank you so much. I will come back in the queue. Thanks.

Rajiv Sabharwal: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Ajit Kumar from JM Financial. Please go ahead.

Ajit Kumar: Yes. Thank you for the opportunity. Just 2 to 3 questions from my side. First, a data -keeping question. What was the total disbursement during the quarter? I was not able to find it in the presentation. I have the last quarter number, but not for this quarter. So, what was the total disbursement?

Rajiv Sabharwal: So, we have not stated it here. We will share with you separately, or we will share it later.

Ajit Kumar: Okay.

Rajiv Sabharwal: We will pull it up and share it.

Ajit Kumar: Sure. Sure. But just to get a sense, qualitatively, since A UM QoQ growth is around 2.7 % in this

quarter versus 3 % last quarter, is it fair to say disbursement in Q2 was broadly similar to Q1?
Rajiv Sabharwal: No. I would say, as I mentioned to you in the presentation, the Q1 growth was higher, and we saw not the same thing being reported in Q2. Q2 has actually started becoming better from the last 8 days or 9 days from the GST cut rate, and that momentum continues. So, in terms of disbursement growth, I would say Q1 was better than Q2.

Rakesh Bhatia: But just to supplement, Rajiv, the Q2 growth on disbursals sequentially is 15% .
Ajit Kumar: Sure. Sure. Okay. Okay. And then, c oming to this yield -related question again, calculated yield is down by roughly 25 basis points Q-on-Q. I did not get your clarification earlier very clearly. What is the reason for this decline in yield, and where will it eventually settle down, or in which quarter it will stop declining further?
Rajiv Sabharwal: No, no. I did not mention a decline in yield. There is no decline in yield. What we said was the NIM plus other income has been steady at 6.5 %. There is no decline.
Ajit Kumar: Okay. Okay. Sure. Sure. Sure. And just one last question. Looking at your Slide number 22, in Personal and Business Loan , Two-wheeler loan, and obviously Motor Finance business, GS2 and GS3 both have gone up sequentially. By when can we see these asset quality m etrices , GS3, GS2 coming down in this segment, Personal Loan , Business Loan , and Two-wheeler loan, et cetera?
Rajiv Sabharwal: So Ajit, I will break it up into two parts. What we have shown here is the Stage 3 assets. The total provisions on any asset class happens both on standard assets, which is 0 to 90, and on Stage 3, which is 90 plus. We have clea

rly seen a decline in terms of credit costs on the standard assets. And that is what I mentioned to you has led to also our overall credit costs coming down by 30 basis points compared to Q1 of this year.
As far as Stage 3 is concerned, since the standard asset buckets have gone down, that will flow into a lower number in Stage 3 over the next quarter or two. What you should also note is, since there was stress last year in the Retail Unsecured , we had slowed down our disbursements, and consequently, the book growth also almost came down to nil.
So, even if there is no denominator impact benefit on the percentage of NPA. So, we believe since the Stage 1 and Stage 2 assets are improving, it will lead to a Stage 3 reduction over the next quarter or two.
Rakesh, do you want to add?
Rakesh Bhatia: Yes, I will just add, Rajiv, specifically to your question on the Personal Loans and the Business Loans , if you refer to the Slide 22, you will see that it has increased from 5.2 % to 5.5 % in June, which is in Q1, and there is a 20 basis point s increase in Q2. So, I just want to give a comfort that, as Rajiv mentioned, that credit cost on the Retail Unsecured loans has peaked, and the slippages in Q2 are lower than Q1. So, I think we have seen the peak, and as Rajiv mentioned, going forward, w e will see the credit cost trending lower.
Ajit Kumar: Sure, sure. Thank you. Thanks a lot. That's it from my side.
Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. Good evening, everyone , and t hank you for taking my questions. Rajiv sir, first things first, we spoke about credit cost declining for us, 30 basis points Q -o-Q, whether we include or exclude Motor Finance , so which is appreciable. So, if you could just throw some light on these 2 segments in particular, your CV and the Motor Finance segment, as well as the Unsecured Business Loan segment . Because I just heard that in the previous participant's question, you said that we are seeing st ress peaking out, and credit costs should decline. But only 3 months back, there was so much of hue and cry suddenly in the unsecured business loan segment. So, if you could help all of us understand where is it that we are seeing stress trending in unsecured business loans and also CV /Vehicles .
Rajiv Sabharwal: So, let me just give you a little bit of background where the stress was , and where we have seen a decrease. Actually, for us, the stress was there on the Retail Unsecured side, which is personal Loan, Business Loans , as well as Microfinance and on the Commercial Vehicle side.
As far as Personal Loans , Business loans and Microfinance is concerned, in each of these areas, we have seen credit costs of Q2 being lower than credit costs of Q1 , and same is the trend on the slippage side.
As far as Motor Finance is concerned, our credit costs have remained almost flat. However, we have seen some improvement in slippages there. So, that's the current scenario.
Abhijit Tibrewal: Got it.
Rakesh Bhatia : And just to supplement, the percentage of Motor Finance looks higher because the book has de - grown , in case you are looking at the percentage number.

Rajiv Sabharwal: So, absolute number will tell a different story, but as we mentioned to you, in the first two quarters, our focus has been in transforming the business and integrating it. Consequently, the book has come down. So, because the book has come down, the percentages also look a little accentuated.
Abhijit Tibrewal: Got it. And s ir, the second question I had was again on this GST rate cut and earlier in the call you shared that there was very good momentum that we started seeing from the last week of September , and I am hoping it would have continued into Diwali as well.
But I think what all of us are

trying to wrap our heads around is whether this momentum can continue. So, maybe it's just been one week since Diwali, but earlier in the call you said that you expect this momentum to continue in the second half. So, just tr ying to understand, this GST rate cut that we have seen, has it really spurred consumption and demand for vehicles as well as consumer durables? Or do you think this was a little bit of a pent up and then maybe as we keep moving towards the end of this fin ancial year, things will start moderating?
Rajiv Sabharwal: So, I will give you the current feel which I have from my team. So, if you look at each of these segments, I will talk about each one of them. And we have a little more feel of each one of them , because we are also in the Supply Chain business, Financing business of the Auto sector as well

as the Consumer Durable sector and so on. So, we do get a sort of an early indication of what is happening , because the stocks start moving from the manufacturer to the distribution channel.
So, on Two-wheelers, the momentum has been extremely good. Actually, from what we understand, the growth rates compared to the similar period last month have been 30 % to 50 %. So, it's been pretty high. And the momentum on Two-wheeler continues.
As far as Passenger Vehicles is concerned, that momentum is also strong and it continues.
As far as Commercial Vehicle is concerned, we have seen this momentum to be strong in the small and medium Commercial Vehicle segment, the last mile bid. There, the momentum is extremely strong.
On the heavy Commercial Vehicle , this is still, I would say, not too much of a significant impact.
As far as Consumer Durable s is concerned, that has also been positive and it continues to be positive.
So, that is what our assessment is. So, the feel which I have is that this momentum is expected to continue in the areas in which it has shown a positive trend , for Q3 and we expect in Q4 too.
Abhijit Tibrewal: Got it , sir. Thank you so much. And lastly, in our Housing subsidiary, are we foreseeing any senior management changes?
Rajiv Sabharwal: There are no changes in the senior management there. There is one person moving out from us, but we have a strong team below and that won't impact us in any way.
Abhijit Tibrewal: Got it, sir. This is useful. Thank you so much , and I wish you and your team the very best.
Rajiv Sabharwal: Thank you so much , Abhijit .
Moderator: Thank you. The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life. Please go ahead.
Himanshu Taluja: Hello, sir. Thanks for the opportunity and congrats on the quarter , and very elaborated disclosure. Sir, just a couple of questions at my end. When I look at the Motor Finance , given the way you have given the guidance on the profitability pa rt, where you expect to reach 2% RoA in 3 years timeframe, how do you basically, if you can also call out what sort of the growth that you would like to see in the Motor Finance business ? When the AUM growth is likely to start seeing the growth trajectory versus the de -growth? So that's my first question.
Second is, shall we understand that the stress has peaked even in this segment ? And how incremental basis one will see the asset quality in this segment? And also, do you believe that the 32% PCR within the segment is sufficient or is there a need to further strengthen the PCR for this segment?

And thirdly, within your guidance of 22 %-25%, what you have given the guidance of a 3 year, if you can explain how you wanted to see this growth between Retail , SME and Corporate . Yes, these are my questions. Thanks.
Rajiv Sabharwal: So I will try to cover all these points. I may not do it in the same order, but let me cover all. So as far as growth is concerned, what w

e have talked about 22 %-25%, we expect the proportion of the asset classes to remain the way they are. As mentioned earlier, because of housing finance growing at a faster pace, it is possible that the proportion of housing finance may grow by about 1% or 2% over this period.
But otherwise, largely proportion will remain the same. Because it's not only about

disbursement, it's also about average tenors of those products and what pre -payments happen in those areas.
As far as Motor Finance business is concerned, as mentioned, we are clearly on the path of transformation. And we expect the business volumes to reach a stage where our book will become flat and stop degrowing in Quarter 4 of this year. And we are hopeful of starting to grow this book from Quarter 1 of next year.
In terms of the growth rate which we want there, I do not want to at the moment talk about any number there. Because if you notice, our strategy always is to focus on fitness first before growth. So we would like to ensure that we get to the right metrics on both operating efficiency as well as on credit cost before we start accelerating while we will start growing, but we will do a growth rate which we believe is appropriate for the moment. So it will really depend on the business metrics at that point of time. So I do not want to give a number on growth at this point of time.
As far as credit costs are concerned, we have said that the credit costs are stable. They have still not started to go down in any significant manner. While slippages have started to show an improvement, we would want to watch it for some period of time before we pass a full judgment. We do believe that it will not grow, but how soon it wi ll start coming down and at what rate, give us a quarter for us to tell you more about it.
On PCR, we have always been prudent on that. If you notice, on an overall basis, our Retail Unsecured is just about 12% of our total book. Still our PCRs are among the highest levels in the industry, which means that everywhere we have been prudent.
So in terms of your question on the relevant PCR for Commercial Vehicle business, I want to say that we will continue to watch it. And if we feel there is a need to do it, we will look at increasing. But at the moment we feel it is appropriate. But Rakesh, would you like to add?
Rakesh Bhatia: Yes. So I think you also asked on the RoA or what will kind of change in the business. As Rajiv mentioned, we are working on various levers on this Motor Finance business , which includes changing the product mix, where we are increasing the proportion of the used Commercial

Vehicle and also shifting away from the Heavy Commercial Vehicle to the Small and the Intermediate Commercial Vehicle , and also increasing the proportion of the non -Tata OEM, which comes.
So if you look at the trajectory from now, we are expecting the total NIM plus fee income to go up by 50 basis point, credit cost to come down by 60 to 70 basis point , and the cost to average assets to optimize by another 30 to 40 basis points. As Rajiv mentioned, we are expecting in Q4, we will end up with a positive bottom line on this business line.
Rajiv Sabharwal: And this is the bridge he gave over the next 3 years …
Rakesh Bhatia: 2 quarters.
Rajiv Sabharwal: Or 2 quarters.
Himanshu Taluja: Sure, sir. Thanks a lot. Sir, just a one small question if I can, like in the last 2 years we have seen significant branches that you have added, as well as now with Tata Motor Finance branches also came in, do you believe this is the one primary reason be cause incremental basis we don't need the pace of the branch what we have added in the last 2 years? And this is the primary reason for the significant operating leverage that you are expecting in the business?
Rajiv Sabharwal: So Himanshu, I would say 2 things because of whic

h operating leverage will play out for us and
has started to play out, let me put it this way. One clearly is that we have very aggressively grown our branch infrastructure over the last 3 years, which we don't need to do and you are right there. We don't need to add too many branches there. So that will help us.
Second also is the fact that our investments in technology, digital, as well as now what we are doing on the Gen AI space have already started to give us benefits. And we believe that this will also accelerate in the future. We truly believe that a combina tion of these 2 is something which will help us. Obviously, the benefit of the book growing also, especially in Housing , also will help us.
Himanshu Taluja: Thanks a lot, sir.
Operator: Thank you. The next question is from the line of Mohit Surana from HDFC Asset Management. Please go ahead.
Mohit Surana: Yes. Hi, good evening. Just wanted to understand one comment which you made that on a 3-year basis, we are expecting a 30 to 35 basis point improvement in NIM plus fee . With the mix not changing materially , just wanted to understand how the NIM plus fee intensity on a pre -tax basis can go up 40 -45 basis point if you could give some understanding around it. Thank you.
Rajiv Sabharwal: So, when I mentioned Mohit on the mix, I was referring to the broad mix of Retail, Housing , SME and Corporate . But within that, there is some change in character which is happening. For example, in the Housing Finance business, our proportion of Affordable Housing is growing.

We have also got ourselves into both micro housing as well as LAP . So, while the overall housing finance company 's proportion may remain the same, but within that the proportion of high yield products will grow. Similarly, in the Retail business also, we have got into new products like secured business loans and few other products , where we expect their proportion in the overall Retail business to grow.
Similarly, in the SME business, we are growing our Leasing business which gives us much higher returns, much faster than some of the other businesses , which will also give us better returns. So, what I mentioned earlier was at a broader level, the proportion of Housing, Retail , SME and Corporate will remain the same. But within that, the character of the breakup will change , which will give us better returns.
Mohit Surana: Got it. Okay. Thank you.
Moderator: Thank you. The next question is from the line of Siraj Khan from Ascendancy Capital. Please go ahead.
Siraj Khan: Hello. Thank you for taking my question and a very good set of numbers. Sir, with respect to the comment that you made on the previous participant's question, in the housing finance company , so where do you see this share of Affordable Housing going up in the specific housing finance subsidiary? It's currently at 19% and with us saying that it would reach around 1 lakh crore in the mid of FY '2 7. What will be the breakup of this? How much of a percentage will be affordable and the other stuff?
Rajiv Sabharwal: So, my colleague, Sarosh, who heads the housing finance company is here , I will request him to…
Sarosh Amaria: Right. So, see today in our INR 75,000 crores of AUM, our affordable plus micro, the AUM is roughly INR 15,000 crores. That growth for this year as well as next year will be increasing by more than 30% , which will grow more than the other asset classes within the HFC. So, clearly the AUM of Affordable Housing finance was hardly INR 3,000 crores 3 years back, which has reached now almost INR 15,000 crores out of the INR 75,000 crores. The growth rate is in excess of 30%. With that growth, we w ill ensure that the company also grows well, but within that, the Affordable Housing finance growth rates would be higher.
Siraj Khan: Understood. And with respect to th

e yield, as you have mentioned, for affordable and the
Secured business loan, I think what was mentioned, what is the yield difference , sir? If my book yield is say 11% or X, what is the difference between the yield of these 2 products?
Rajiv Sabharwal: Actually, we have not shared the yield for specific products.
Siraj Khan: No. No. So, what will be the yield difference like? If X is the yield, then it will be higher by 100 or 200 basis points? I was just wanting to understand that. So, if the mix is changing and tilting towards these high yield products, so a brief calculation we could make on the back of that.

Sarosh Amaria: So, our Affordable book yields are more by 300 basis points approximately. We have also go t into micro, where the yield differences are much higher.
Siraj Khan: Understood. Understood. Thank you. And just the last data keeping question. What was the AUM for the Affordable book and the Secured Business Loan book last year, this quarter? So, just a Y -o-Y number for the two, if that could be shared.
Rajiv Sabharwal: Just a minute. Secured business loan is a business which we got in about 18 months back. So, if you look at those percentages, they will look very high. So, I don't want to give that percentage. It's just to tell you that we got into that business about 18 months back. But on the Affordable Housing , we will tell you …
Sarosh Amaria: Yes. Sir, year -on- year, 11,200 has reached 15,000.
Siraj Khan: Understood. Understood. Thank you. I will join back in the queue.
Moderator: Thank you. The next question is from the line of Siraj Khan from Ascendancy Capital. Please go ahead.
Siraj Khan: Thank you very much for the comment. My question was again with respect to the fee income that we have been focusing on. Like w hat is the fee income specifically overall? And also in the housing finance company as you can see , the fee income has nearly doubled. So, what is this fee income that we are targeting and how are we leveraging and which all products are we getting this fee income from?
Rajiv Sabharwal: So, actually speaking, I will give you a sense on an overall basis, what all gets included and contributes to the fee income. One clearly is what comes as cross sell of insurance products, which is included there. And I am talking about the overall Tata Capital level. The second is also we are into the Wealth Management business and that also helps us in growing our fee income. Third is since we are also present in the Corporate business, we at times originate deals which are much larger th an ones which we would like to have on our loan book. And when we sell them down, then that also gives us fee income. In fact, that business has been growing for us ,

because we are able to generate a much larger number of deals which we are able to then place in the market.

So, these are things which help us in the overall fee income. But I will request my colleague , Rakesh to add.

Rakesh Bhatia: Yes. So, if I look at the Q2 number and deconstruct the fee income, 3% of it comes from our non-lending businesses, which is the Wealth Management Cards and the Private Equity . 97% comes from the core lending business. If I dissect that 97% further, 17% of it comes from the Operating Lease business ; 26% is the cross sell of insurance, which we do along with our loans ; and as Rajiv mentioned, 15% is the assignment income when we down sell any book ; and the rest 38% will be linked to our core lending businesses in terms of the collection and other charges which accrue to the fee income line.

Siraj Khan: Understood, understood that. And finally, on the aspect with respect to the credit cost, what was the write -off number for this quarter and previous quarter? So for Q2 FY'25, Q1 FY'26 and Q2 FY'26, the numbers that

we have disclosed, the write -off number?

Rajiv Sabharwal: Actually , we have not given out the write -off numbers. The only thing which we would like to say is that nothing is out of order in terms of our strategy. And as far as write -off is concerned, we only write -off those loans which have been fully provided for, which means 100% provided for.

Siraj Khan: So, can you share that number if that is possible , the fully provided for and then those?

Rajiv Sabharwal: We have not shared that. We primarily do this to optimize on tax.

Siraj Khan: Okay . Okay. N ot a problem. And lastly, overall, I can sense that we are moving with the Affordable Housing business being place for the growth as you have mentioned. So, will that be also focusing on the Prime business , or again this will be mostly driven by the Affordable business? Because INR 32,000 crores of business come from the Prime and Near Prime . So, will that be more of an ATS growth number or will that be both in volume s and in value?

Rajiv Sabharwal: So, Siraj, our strategy remains common across all our businesses, which is we want to remain well diversified across all products. So, within Housing also, we are present in the Prime Housing business ; we are present in the Near Prime ; we are present in Affordable Housing , both Home Loans as well as LAP ; we are present in the Micro Loan segment ; we are present in Loans Against Property ; and we are present in the developer finance business. So, we are well spread across all segments.

So, as far as growth is also concerned, this will come from each of these areas. And obviously, as mentioned earlier, we will grow more in those products which give us a better yield. But we are present in all segments of the business.

Siraj Khan: Thank you very much , sir.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Rohit Maheshwari. Please go ahead.

Rohit Maheshwari: Thank you, sir, for giving me opportunity. S ir, my question is related to Affordable Housing . If we see the whole industry is chasing to Affordable Housing sector. So, are we seeing any yield pressure when we are expanding to Tier 3 and Tier 4 markets?

Rajiv Sabharwal: So, actually, if I have to comment on our strategy, our whole thought process is that we should take advantage of where our strengths are. Our strengths are in having one of the lowest cost of funds. Our strengths lie in creating digital journeys which are strong, which c an help us keep our operating costs lower.

So, when we operate in these markets and we are competing with other players, we would like to offer rates which are slightly better than them, get the best of customers and keep the credit costs low and don't compromise on collateral quality. So, just to give you a sense, if in Affordable Housing the other players are operating at 14 %, we will be happy to operate at 12 % to 13 %, get the best of customers, don't compromise on collateral quality and still grow.

And similarly, on Micro Loan s, we will be more competitive than the others and this competitiveness comes from the fact that we have a lower cost of funds compared to them and we have better operating costs. So, our whole strategy is to take advantage of our strengths.

Rohit Maheshwari: Okay. Sir, my second question is towards the Consumer Loan , where the ticket size is less than a lakh. This market is growing very significantly. It is growing at 30 %-40% per annum where the yields are very much high with 35 %-36% odd of the yield. So, what is your opinion? We will explore this market or we will not explore this market?

Rajiv Sabharwal: So, if you would look at our strategy, our strategy always is to wet our feet in that market . Only if we are comfortable, we will scale that business. That's our strategy in every business which we

enter into.
Now, as far as the small ticket personal loans is concerned, we have looked at that business and chosen not to be present in any significant manner in that business. We feel that it has high risks and we do not intend to be any significant player in that b usiness which operates at 36 % or so.
Rohit Maheshwari: Okay. So, the last question is because you have exposure to various industries and as we are seeing the Indian Corporate balance sheet deleveraging because of the liquidity in market. So, when you see the Corporate Loan picking up?
Rajiv Sabharwal: It's a million dollar question. We also have the same question. So, I think the good point is which I see as positive is this GST cut is leading to consumption growing. We are also seeing the rural sector recovering and showing good growth. All this is leading to more demand for products.
If you would have seen what happened in the last month or so, the demand was so high that in certain Two-wheelers or in passenger vehicles, dealers didn't have the products which were required. Either the companies were short on production or the supply chain was not big enough to supply on time. So, this is positive , and I do believe that this is now rubbing on in some way to MSMEs and over a period of time, it will also hopefully lead to more capital investment , but we will need to watch that and see how it plays out.
At the moment, we are seeing demand growing , and it always happens that if demand continues to grow and is sustained, it will lead to more capital going into new asset creation. So, hopefully that will happen , but we are watching like you.
Rohit Maheshwari: Thank you, sir. All the best. Thank you .
Rajiv Sabharwal: Thank you so much, Ro hit.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Viral Shah for his closing comments.
Viral Shah: Thank you, Rajiv , Rakesh, Sandeep and the Tata Capital team. Rajiv, do you want to make any closing comments?
Rajiv Sabharwal: I just want to thank everyone for joining. I want to state that this clearly is a new journey for us. We have welcomed over 22 lakh new shareholders . And as a team, we are committed to working hard to ensure that we take care of all our stakeholders. Thank you very much.
Moderator: Thank you. Ladies and gentlemen, with that, we conclude this conference call on behalf of Tata Capital Limited. Thank you for joining us , and you may now disconnect your lines.

Note
This transcript has been lightly edited for clarity and accuracy.

Call: Jan 2026

January 23, 2026
To,
The Listing Department
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400001
Scrip Code: 544574 To,
The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051
Symbol: TATACAP
Dear Sir / Madam,
Sub.: Transcript of Earnings Conference call for the quarter and nine months ended
December 31, 2025
Ref.: Tata Capital Limited ("Company")
We wish to inform you that pursuant to Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, the transcript of the Earnings Conference call hel d on January 19, 2026, in relation to the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025, is enclosed herewith.
The same is available on the website of the Company at below link:
https://www.tatacapital.com/about -us/investor -information -and-financials.html
We request you to take the above on record.
Thanking you,
Yours faithfully,
For Tata Capital Limited
Sarita Kamath
Chief Legal and Compliance Officer & Company Secretary
Encl.: as above

"Tata Capital Limited
Q3 FY '26 Earnings Conference Call "
January 19, 202 6

MANAGEMENT : MR. RAJIV SABHARWAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – TATA CAPITAL LIMITED
MR. RAKESH BHATIA – CHIEF FINANCIAL OFFICER – TATA CAPITAL LIMITED
MR. SANDEEP TRIPATHY – HEAD OF STRATEGY AND INVESTOR RELATIONS – TATA CAPITAL LIMITED

MODERATOR : MR. VIRAL SHAH – IIFL CAPITAL LIMITED

Moderator: Ladies and gentlemen, good evening and welcome to the Tata Capital Limited Q3 FY '2 6 Earnings Conference Call, hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Viral Shah from IIFL Capita l Services Limited. Thank you and over to you.
Viral Shah: Thank you, Swapnali. Good evening, everyone. This is Viral Shah from IIFL Capital. Welcome to the Q3 FY '2 6 Earnings Conference Call of Tata Capital Limited. On behalf of IIFL Capital, I would like to thank the management team of Tata Capital for giving us this opport unity to host the call.
From the management team today, we have Mr. Rajiv Sabharwal, Managing Director and CEO, Mr. Rakesh Bhatia, Chief Financial Officer, Mr. Sandeep Tripathy, Head of Strategy and Investor Relations, and other senior members of the management team. We will have opening comments from the management team, post which we will open the floor for Q&A.
With that, I would like to transfer the call to Rajiv for his opening remarks. Over to you, sir.
Rajiv Sabharwal: Thank you so much, Viral. Good evening, everyone, and thank you for joining us for our Q3 FY '26 Earnings Call. This is our first call in the new year, so wishing all of you and your famil ies a very happy and a prosperous 2026.
This is also our second call post -listing and we appreciate your continued trust and support. Our financial results and investor presentation are now available on the NSE and BSE websites. I am joined today by Tata Capital's senior management team.
I will begin with a brief macroeconomic overview, followed by a discussion on our performance for the quarter, after which we will be open for questions. India remains one of the fastest growing major economies despite global volatility from both trade p olicy and tariff uncertainties.
Against this backdrop, GDP growth of 8.2% in Q2 highlights strong domestic demand and resilient fundamentals creating opportunities for well -capitalized players. In December 2025, RBI reduced the policy rate by further 25 basis points to 5.25%, marking a c umulative 100 basis points reduction in this fiscal year.

This calibrated easing was underpinned by sustained moderation in inflation and reflects RBI's assessment of a durable disinflationary trend while maintaining a strong focus on financial stability. RBI has reiterated its data -dependent and vigilant stance and continued active liquidity management to ensure orderly transmission and stable funding conditions.
Credit growth has been on a slightly increasing trend during Q3, led by the retail and the MSME segments, with improved asset quality and resilient profitability across the system. RBI also mandated weekly collection and maintenance of credit information, which will enhance borrower feasibility and speed up underwriting. I personally believe this is a very significant step and will hold us very well in the long run on credit quality.
At the same time, the rollout of new labour code aims to simplify compliance and promote formali zation despite some near -term cost impact. Overall, business sentiment remains constructive, supported by improving consumption, steady industrial activity and a gradual revival in rural demand. Retail loan growth is expected to remain steady, driven by the auto segment, while housing finance will continue to be a key contributor with some moderation due to high base.
Looking forward, we remain cautiously optimistic th

at a consumption -supportive and a tax -
relief -oriented union budget could further bolster discretionary spending, particularly in the retail segment, supporting sustained credit growth. Against this environ ment, I am pleased to share our Q3 performance, marked by robust AUM growth and stable asset quality, operating metrics also being better across key segments.
I will highlight the quarter's key numbers from the investor presentation and cover financial performance on both a consolidated basis and excluding Motor Finance , which is the business of Tata Motor Finance , which we merged into Tata Capital.
Performance snapshot, please refer to Slide 3. Looking at the quarter gone by, excluding Motor Finance business, our AUM stood at INR2.34 lakh crores, reflecting a 26% Y-o-Y growth and a 9% sequential growth. Profit after tax for Q3 was INR1,285 crores, up 39% Y-o-Y and 14% quarter -on-quarter. Adjusting for the non -recurring item related to labour code, profit after tax grew 36% Y-o-Y to INR1,258 crores. Credit cost for the quarter was 1% as compared to 1.1% in Q2 of FY '2 6. Net NPA remained stable at 0.6% . Return on assets improved 30 basis points Y-o-Y to 2.3%.

Including the Motor Finance business, our AUM stood at INR2.61 lakh crores with 7% sequential growth. Credit cost for the quarter including Motor Finance was 1.2%, a 10 basis points reduction from quarter 2 of FY '2 6. Profit after tax for the quarter including Motor Finance was INR1,257 crores, up 15% sequentially. Excluding the labour code adjustment, profit after tax stood at INR1,290 crores reflecting 18% growth. Return on assets improved 20 basis points to 2.1% from 1.9% in quarter 2 of FY '2 6.

I will now take you through our performance across five key themes, highlighting progress against our guidance and providing deeper insights into the business. This will be followed by a

brief overview of our technology and digital initiatives. I will then share updates on our housing finance subsidiary and Motor Finance business.

Let us first talk about book growth. Kindly refer to Slides 4, 5, 14 and 15. I am pleased to report that we recorded our highest ever quarterly AUM growth of ~ INR16,800 crores driven by festive demand and benefits of GST reduction.

Our diversified portfolio enabled timely opportunities, efficient disbursements and balanced growth. Excluding the Motor Finance business, our AUM grew by 26% Y-o-Y with housing finance recording 30% growth. On sequential basis, the AUM grew by 9%. Disbursement growth was broad -based across all segments, including unsecured retail.

Overall, retail and SME loans continue to account for 87% of our total AUM. While our focus remains on granular high -quality growth, the modest increase in corporate loans in quarter 3 FY '26 reflects a few strategic opportunities we were able to capitalize on during the quarter.

Retail momentum strengthened meaningfully in quarter 3 and we remain confident of sustained growth in the coming quarters. If you recall, during our quarter 2 call, we had highlighted that the asset quality challenges in unsecured retail were behind us and we expected growth to return in this segment.

Within retail, unsecured loans saw a healthy broad -based recovery with both portfolio growth and disbursements reaching a four -quarter high. We have added a Slide on unsecured retail, please refer to Slide 16, highlighting the scale -up in unsecured retail disbursements and improvement in slippages. The slide has been included in our investor presentation for additional clarity. We may keep adding such additional information in our future presentations.

We basically wanted to highlight how the disbursements have started to scale up over the last few quarters and also, we had mentioned that once the disbursements scale up, the AUM growth will follow soon after.

I am

pleased to report that quarter 3 disbursements were 30% higher on a Y-o-Y basis and 13% over quarter 2. With unsecured retail exposure currently at 10.4% of AUM, it leaves us with ample runaway to achieve our stated vision of increasing it to 15% of the AUM. Including the Motor Finance business, our AUM increased 7% sequentially. The Motor Finance AUM stood at INR 26,584 crores, reflecting a 6% sequential decline. I will provide an update on the transformation in the upcoming section.

Given the strong traction seen in Q3 in book growth and remaining conscious about the prepayment pressure, we are on track to meet our FY '26 guidance of 18 %-20% AUM growth.

As of December, we had a robust network of 1,505 branches across 27 states and union territories. Combined with our comprehensive digital capabilities, this enables us to effectively serve a growing customer base of 8.1 million.

The second theme I want to cover is on asset quality. Kindly refer to Slides 4, 22 and 23. Excluding the Motor Finance business, Stage 3 assets stood at 1.6%, net Stage 3 at 0.6% and provision coverage ratio at 64.5%, broadly in line with Q2 levels. Credit costs declined to 1%

for the quarter, reflecting a 10 basis points improvement over Q2. We witnessed lower slippages during Q3, including in the unsecured retail segment and this improvement is expected to translate into a better Stage 3 me trics over the coming quarters. The marginal uptick in Stage 3 within the unsecured retail is expected to normalize as disbursement momentum has returned and portfolio growth resumes.

Including the Motor Finance business, Stage 3 assets were at 2.2%, net Stage 3 at 1 .0% and provision coverage ratio at 53.6%, a gain largely unchanged from Q2. Credit costs improved by 10 basis points to 1.2% during the quarter. Slippages have moderated here as well and the increase in Stage 3 is primarily attributable to the ongoing degrowth in the Motor Finance book rather than any incremental stress.

Overall, asset quality remains robust, coverage levels are strong and credit costs continue to trend downwards, underscoring the resilience of our portfolio and keeping us well on track to meet our FY '26 guidance on credit costs.

The third theme I want to touch upon is cost of funds. Our funding profile is well diversified and competitively priced, providing a strong foundation for growth. We maintain an optimal borrowing mix through a disciplined ALM framework, effectively managing l iquidity and refinancing risks.

Supported by our strong credit ratings, we have access to a broad and diversified lender base across banks, capital markets and institutional investors, both in India and overseas, enabling us to secure funding at competitive terms. The benefits of the pol icy rate easing are flowing through steadily and cost of funds are declining each quarter since the start of this financial year. For Q3, overall cost of funds stood at 7.2%, down 14 basis points from Q2 on daily average basis .

The next theme I want to cover is margins. We continue to operate in a stable NIM plus other revenue corridor, with NIM for Q3 at 6.6% , up 14 basis points versus Q2, including a 17 basis points contribution attributabl e to the proceeds from the IPO.

During the quarter, while we benefited from lower cost of funds, significant portion of the easing was passed on to customers, keeping margins at stable levels. Looking ahead, we see potential for margin expansion over the medium term, supported by further optimization of our product mix, with a rising contribution from higher yield segments such as unsecured retail, affordable housing and secured business loans , as well as growth in fee -based businesses and continued benefits of lower funding costs.

On operating leverage, our continued investments in technology, data infrastructure and branch expansion

over the past 3 years are steadily enhancing operating leverage. We are beginning to see tangible efficiency gains in both productivity and turnarou nd times across our businesses. In Q3, our cost -to-income stood at 38.4%, improving by approximately 129 basis points versus the last quarter, excluding the one-time impact of INR 44 crores related to the recently announced New Labour Codes. The profit after tax impact of this New Labour Code has been INR 33 crores. For FY '26, we remain confident of closing the year with a cost -to-income ratio in the range of 38% to 39%, as we had communicated earlier.

Talking about the balance sheet, please refer to Slides 35 and 57. Our balance sheet remains well capitalized and highly liquid. As of December, total assets stood at INR 2,71,936 crores, with a net worth of INR 43,153 crores. Capital adequacy remains robust at 20.3%, comfortably above regulatory requirements, supported by a heal thy common equity Tier 1 ratio.

We have continued to de -risk the balance sheet, with the debt -to-equity ratio declining from 6.1 x in September to 5.1 x in December 2025, positioning us well to fund growth while maintaining prudent leverage. In addition, we maintain a strong liquidity buffer of approximately INR 35,000 crores, comprising cash and cash equivalents, mutual funds, LCR investments and undrawn bank lines.

Together, these factors reflect a strong, liquid and well -capitalized balance sheet, providing ample flexibility to pursue growth opportunities while supporting business resilience. A quick summary of our technology and digital efforts. Please refer to Sli des 42 to 46.

At Tata Capital, our digital DNA is integral to how we serve customers and build a scalable, future -ready franchise. We are a digital -first NBFC, with technology embedded at the core of decision -making, operations and execution. With a customer at the center , technology now spans the full lending lifecycle.

97% of customers are digitally on -boarded, 97% of our retail disbursements are via scorecards/BRE , 98% of our customer queries are resolved digitally and 99% of our collections flow through digital channels, demonstrating sus tained value creation at scale.

Over the last few quarters, we have moved decisively from AI pilots to enterprise -wide deployment across marketing, sales, credit, operations, service and collections, delivering a measurable business volume. Our voice -based, Agentic AI platforms, deployed across sales, customer service and collections, have matured and are driving cost efficiencies through higher agent productivity, automation and intelligent call handling.

We were early investors in Gen AI-driven underwriting, ahead of the broader industry adoption. Today, AI underwriting co -pilots and AI -generated credit memos are used across business segments, improving credit manager productivity while enhancing speed, consistency and risk governance.

In parallel, AI -led automation in operations has enabled us to process significantly higher volumes with lower manpower intensity, reinforcing operating leverage. The transformation is anchored in a robust AI and data architecture, strong in -house engineer ing and data science capabilities and a selective ecosystem of strategic technology partners.

Together, these capabilities are enabling us to build a scalable AI -enabled operating model that supports disciplined growth, cost efficiency and resilient risk management. A little more on our housing business. Kindly refer to slide 26 -28. We had another strong quarter for our key subsidiary, Tata Capital Housing Finance Limited, with AUM growing 30% year -on-year and profit after tax increasing 25% year -on-year. This is excluding the one -time impact of the labour code. Total AUM stood at INR 81,585 crores. We continue to prioritize affordable home loans and loans against

property dispersals, which support better margins and portfolio diversification.

Tata Capital Housing Finance Limited also continues to make meaningful progress on cost efficiency, with cost -to-income improving by 114 basis points from 32.9% in Q2 of FY '2 6 to 31.8% in Q3 of FY '2 6. On the asset quality front, Tata Capital Housing Finance Limited remains best in class with credit costs of 0.1% and net NP A of 0.4% in Q3.

These metrics combined with disciplined operations have positioned Tata Capital Housing Finance Limited as one of the top performing HFCs in the country, delivering a stable RO A of 2.4% across all quarters of FY '2 6. We remain optimistic about sustaining this strong performance as we continue to execute our growth and margin strategies in the housing finance business.

Talking now a little more about the Motor Finance business, our primary focus in the Motor Finance business is on reorienting the portfolio rather than pursuing near -term growth. The integration is progressing as planned across all key dimensions. In Q3, AUM declined by 6%, reflecting this deliberate repositioning.

Importantly, our disbursements increased by 17% in Q3 over Q2 and we are confident that disbursement momentum will build sequentially from here as the business stabilizes and transformation gains traction. The commercial vehicle market showed strong growt h driven by GST reforms, logistics expansion, infrastructure activity and rural recovery creating favourable conditions for CV sales.

While benefiting from these trends, we are transitioning from a captive model and reshaping the CV finance mix to align with the evolving ecosystem and improve risk -adjusted returns. We are making strong progress on Motor Finance transformation. Our non -Tata OEM share in the new commercial vehicle disbursements rose to 19%, reflecting early success in our multi -OEM strategy.

We have realigned the product mix by increasing used commercial vehicles and LCVs while reducing heavy commercial vehicle exposure. The credit costs have declined with fewer slippages supported by tighter risk controls. Operating efficiency is improving th rough branch rationalization, manpower redeployment and IT integration.

The business is now aligned to Tata Capital's operating model with dedicated sales, credit and collection verticals and enhanced underwriting standards and collection practices are reinforcing portfolio resilience. We are not chasing near -term AUM growth b ut are instead focused on strengthening the fundamentals of underwriting and process discipline.

With these actions in place, we expect growth to resume from the first half of FY '2 7. Motor Finance business is a seasonal business typically experiencing lower delinquencies and stronger book growth in Q3 and Q4. Our performance reflects this trend with credit costs declining and business achieving break -even in Q3. This was an important thing for us. Our business and Motor Finance business broke even in Q3.

We will continue to monitor performance over the next year to assess steady -state outcomes. With this backdrop, we expect a progressive improvement in ROA during FY '2 7 and we remain on track to achieve our targeted ROA by FY '2 8. FY '2 6 guidance, please refer to Slide 39. Our

focus remains on quality -led growth, prudent capital deployment and sustained improvement in returns.

While staying true to our purpose of enabling inclusive and sustainable financial solutions. On a consolidated basis, we delivered 18% AUM growth and a 1.9% ROA for nine -month FY '2 6. Strong Q3 results and a positive Q4 outlook reinforce our confidence in meeting FY '2 6 guidance across all key metrics.

In the end, to conclude, Q3 reflects disciplined execution and continued strengthening of Tata Capital's fundamentals. We ar

e encouraged by the moderating credit costs, resilience in retail
and housing portfolios and early signs of stabilization in Motor Finance .

We expect this momentum to gather further steam in Q4. Thank you to all our investors, analysts,

lenders, partners and all our teams for their trust and commitment. With that, we will be happy to take your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Raghav from Ambit Capital.
Raghav: Thanks for the opportunity and congrats on your results. I have two questions. One, I see that there is an increase in the home loan Stage 3. I just wanted to understand which segment is this coming from? Is this the affordable piece or the prime home loan ? That's the first question. And I have another question.
Sandeep Tripathy : Yeah, why don't you go ahead, Raghav. What's the second question?
Raghav: Okay. In the Motor Finance business, I see that you have about 5300 employees. I just wanted a function -wise breakup of these employees, like how many are in sa les, how many are in credit and collections and so on. Those are the only two questions that I have?
Rakesh Bhatia: Yeah. So, in the home loan, Raghav, there has been a very marginal increase of around 2 -3 basis points. On the rounding off, it shows an increase. We have not seen any stress in the home loan portfolio. Slippages also have been very minimal and well controlled. The housing book is very robust in asset quality. And you can see from all asset quality matric es. It's just a very marginal 2-3 bps increase on the rounding off , which has taken to 0.8%.
Rajiv Sabharwal: Yes. S o, actually because of rounding off to one decimal point, it is showing 10 basis points, but it is significantly lower than that.
Raghav: The other question was on the breakup of the employees in the Motor Finance business, 5 ,300 across credit , collections and sales?
Rajiv Sabharwal: Yes. We will give you the breakup in just a minute. So, approximately 83% -84% are in sales and collections .
Sandeep Tripathy : Operations is roughly 11%. So, together sales, collections and operations would constitute roughly 95% .

Raghav : Understood. That's all from my side. This is useful. Thank you.
Moderator: Thank you. The next question is from t he line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.
Avinash Singh: Thanks for the opportunity. A couple of questions. The first one on credit cost guidance of below 1%. So, if we were to look, let's say 1 -2 years from here onwards, motor finance c redit cost will of course improve a lot. Your motor vehicle finance book , which is currently 10 % odd of your overall book . But then we will have with a bit of seasoning or reversal in home finance book. But, of course, there will be some bit of a pickup from where it was the last year, even from here. Then from which other segment you see that kind of a turnaround that will take credit cost eventually at the aggregate level of like 1. 2%. That's already a very respectable, to be honest, to under 1%. So, that's one.
I mean, which segments, particularly when you are growing at the pace you are guiding, say a 23-25% kind of a rate, which segments can see improvement in credit cost from here onwards. So, that's question number one.
And on motor vehicle finance side, now, of course, the breakeven has happened and most likely the growth should start to come back. Structurally you are also going away from being captive . Will that book, I mean, match your overall guided growth of 23% -25% say in FY '2 8, if not 27?
Rajiv Sabharwal: So, two things. If you look at the credit cost in quarter 3 for us is about 1.2%. When we look ahead, our stated objective is to be at around 1% on our credit cost. The reduction from here will come

from two areas, one on Motor Finance and the other on retail. And retail, more it is on the unsecured side, which we are already seeing a decline.
As we have mentioned , quarter 2 was lower than quarter 1, quarter 3 is lower than quarter 2 and we have given some s ense of guidance in quarter 4 also on an overall basis. So, the reduction will come from both Motor Finance and retail unsecured. As far as the book is concerned of Motor Finance , yes, we have started to see traction in that business built up on the new credit standards which we have set for ourselves.
December disbursement was good and we expect Q4 should also be picking up. As mentioned, quarter 3 disbursements were 17% higher than quarter 2 disbursements and quarter 4 hopefully will be better. As far as the composition of the book is concerned , when we took over the business and merged it was about 12 -13%. It contributed ~12-13% to the total book which has now come down to about 9.5%. We believe that this book of Motor Finance will grow, but not grow at the same pace as the rest of the Tata Capital boo k.
So, in terms of proportion it may come down because we have stated that over the next couple of years till March ’28, between March’ 25 to 28, we have said that we will grow at about 23 % to 25%. We are sticking to that guidance and since Motor Finance will grow at a slightly lower pace than that, that proportion may come down to about 7 % to 8%.

Avinash Singh: Yes, so quickly on Motor Finance piece, I mean just like now you are also going into open market incrementally. So, how is your sense, I mean there have been a kind of I would say mixed data point and talk around the long -awaited C V and ILMSCV cycle recovery where some comment is suggesting that okay after many years of muted there is a growth bouncing back for many reasons. So, how do you see overall sort of that segment of growth? Are you experiencing growth returning or is it still sort of a bit mixed?

Rajiv Sabharwal: No, clearly we are seeing growth returning. The GST cut was a significant cut, brought down vehicle prices in a big way and that is also brought in viability for a lot of vehicles. We are seeing good demand on both medium, small as well as on the heavy sid e, the demand has improved.

In fact, if you look at the used, that was a little muted in this quarter because when the GST cuts happened, while it could immediately reflect in terms of a lower price for new vehicles, for used there was some uncertainty because that those prices logic ally should have gone down, but people were holding on not sure what change will come to those prices.

So, for a month or two there was some subdued business on that side, but it is now started to pick up again and we saw this momentum building up in December and we are seeing the same momentum continuing in January. So, I would say growth was good, coming back on new vehicles . Used vehicle a little muted, but now it is picking up.

Avinash Singh: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Bank. Please go ahead.

Nischint Chawathe: Hi, this is Nischint from Kotak Securities. Congrats on a good set of numbers. I actually have two or three questions. You know, one is on loan against property, what is giving you confidence for such high growth in this business? I have one or two more questions , I will follow -up.

Rajiv Sabharwal: We have seen this business for a very long period of time within Tata Capital. We have seen this business for now about 14 -15 years and the team which manages this business has over 22 years of experience. I have seen this business for about 25 years or so. As long as you have got your valuations right and you have funded it based on the cash flows which the borrower has , and not relied only on property as security, this p

ortfolio has continued to deliver.

And we are seeing the same trend here. We are not seeing any increase in delinquencies or any challenges on bounce rates happening in this business. So that is what is giving us confidence. Basically, we have got vintage data on ourselves plus the people who have seen this business for a much longer period of time. We have got a dedicated credit team for this business and that is what gives us confiden ce.

Nischint Chawathe: Is it something that you are gaining market share, maybe some other players or banks are slowing down or is it something that the market itself is growing at 35 %-40%?

Rajiv Sabharwal: I think it is very tough to get market numbers on this, but when we talk to leading players in this industry, everybody is showing a strong growth in this business.

Nischint Chawathe: Sure.

Rajiv Sabharwal: What also happened, when some bit of people went conservative on the unsecured side, a lot of business did move to the secured side. So maybe that is also helping. These loans are largely taken by self -employed people, people in the MSME segment who are ba sically using this collateral to draw money at a more competitive price than an unsecured loan. And I would believe that whenever there is tightening on the unsecured side, you will see a slightly better growth rate happening on this side.

Nischint Chawathe: Is this similar for SME loans as well, which is classified separately for you, where you are getting almost INR10,000 crores in the last two quarters?

Rajiv Sabharwal: SME business always has been strong in Q3 and Q4. I think this year it got a major boost in Q3 post the GST cuts. You know, our supply chain business is also a part of SME business and it has seen a huge spurt during this period. In fact, quarter 2 became muted because though GST cuts were announced, but they were announced from a later date . So, in fact, quarter 2 became more muted. So, quarter 3 over quarter 2 looks even more stronger because quarter 2 was muted and quarter 3 was very goo d.

Nischint Chawathe: Got it. And just finally, I think as you mentioned in your remarks, there is a spurt in corporate loan book. So is it something that these are kind of episodic facilities, these are any specific loans and does it have any implication on the margins?

Rajiv Sabharwal: No, actually what we try to do in every business is to ensure that we don't chase growth for the sake of margins. You would have seen this for us over the quarters. While we do pass on the benefits of what we see coming to us in terms of lower cost of fund s, we have certain minimum spread targets for each business and average targets for each business, which we ensure are met. So it is not at the expense of margins, but we felt that there were opportunities and some of these opportunities were also arising because of some spurt in demand happening on account of GST cuts.

I would say we felt there was an opportunity for us and we did take that opportunity. This is something which Nischint , we have always said that our approach is to be well diversified. We want to be and we are strong players in each segment. We don't consider any business to be the most important and others around it to serve as the next in line business. Each business for us is very important. We have business leaders in each business who have seen multiple business cycles and are well entrenched in the ma rket. In each segment, we want to be best in class. That is what we aim for.

Nischint Chawathe: Got it. This is very helpful. Thank you very much and all the best.

Moderator: Thank you. The next question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil: Good evening to the team. I have two questions. My first question to Mr. Rajiv is , as Tata Capital builds on this momentum, how

do you see the company balancing expansion with asset quality?

Over the next few years, what opportunities do you see mostly in terms of digital transformation, customer experience and financial inclusion? How will Tata Capital differentiate itself against the peers in the NBF C space? That's my first question. I'll ask my second question after this. Thank you.

Rajiv Sabharwal: So, as we have always stated, Sucrit , that for us risk comes first and that's embedded clearly in every business leader's mind as well as how he or she will be evaluated. We will never chase volume at the cost of asset quality and this will be our strategy going forward too. If we find in any segment there is a challenge, we will pull back, set things right rather than chase growth. We will not try to use denominator as a means to lower ratio. That is not what we do.

In terms of digital transformation, I think digital is key to what we've been doing. In the past few years, we have digitized all asset journeys for ourselves. We have embedded digital in every function within the organization. Going forward, I think the bigger benefit to us will come from this early adoption of AI and Gen AI which we have done.

We have spoken about our projects which we have implemented in these areas. The good part is the ones which have gone into production are showing us good signs in terms of the benefits which they can create. Equally , we have identified new areas in which we want to invest in this area and we are working on the same which hopefully should see the light of the day during the following financial year.

Sucrit D Patil: Thank you. My second question is to Mr. Bhatia. With profitability improving and investments in technology underway, how are you planning to build on this success while keeping the margins healthy? As new products and platforms scale up, what steps are you taking to ensure financial strength and efficiency so that the growth remains sustainable and profits remain on a higher end? Thanks.

Rakesh Bhatia: Thanks. I'll take that. Just as a backdrop, we've made deep investments in expansion of our branches and digital assets three years back. We've seen the benefits of that coming into our operating leverage. If you see cost -to-income ratio across businesses has been coming down on YoY and sequentially also. We have stated guidance of 3 3%-34% cost -to-income ratio by FY ’28, which is in radar across all expense lines and business lines.

As we expand our products and as we do digital journeys, we have a very robust mechanism of making sure that we budget for IT costs and differentiate between run the business and change the business spends. We also look at optimizing each spend in terms of whether it brings in customer efficiency, and operational efficiencies.

So with that, I think we kind of look at each business and each trade very carefully and make sure that each spend which we do on the IT and digital is returning something either on the customer delight side or benefitting the operative leverage.

Sucrit D Patil: Thanks for the guidance and I wish the entire team best of luck for the next quarter.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yeah, good evening, everyone and thank you for taking my questions. Rajiv sir, first thing, just trying to understand, third quarter obviously there have been some tailwinds from the GST rate cut. I'm sure the festive season had its role to play. So are there any segments in vehicle financing where you have seen things tapering off in the months of December and January and likewise on the consumer durable side while we saw a good spurt immediately after the GST cut. How have things trended in the months of Decem

ber and January?

Rajiv Sabharwal: So GST benefits were a big plus in Q3 and that momentum in certain areas is continuing while there is some moderation in the other areas. Consumer durables is not a segment which we are present in or have any significant presence , so I won't talk much about it except for the fact that we still see continued demand from the supply chain side. We are there in financing the supply chain of consumer durables and that seems robust for us.

But individual products I won't have as much clue to talk to you about. As far as the vehicles are concerned, we are seeing strong demand continuing in PV, we are seeing strong demand continuing in commercial vehicles. We have seen some amount of moderatio n in two wheelers which is happening in terms of sales. In tractors , we don't have any significant presence. So I do believe that two wheelers, PV as well as CV will continue to be strong in Q4.

Abhijit Tibrewal: Got it. So the second question I had was around asset quality and basically two sub parts to this question.

Moderator: Mr. Abhijit , you are not audible.

Abhijit Tibrewal: Am I audible now?

Moderator: Yeah. Please proceed.

Abhijit Tibrewal: Yeah. I was trying to understand the strength in asset quality that we are typically used to seeing in Q3 and particularly the second half of the fiscal year somehow seems to be absent in this third quarter. So what is your view on that? I mean, asset quality obviously holding stable, the headline stage 3 numbers.

But other than that, do you think that things are improving on the macro front which would help in asset quality improvement not just in Q4 , which is a seasonably strong quarter, but even when we move into the next fiscal year?

Rajiv Sabharwal: In fact, Abhijit , we have seen a very strong quarter in terms of asset quality and kindly look at asset quality from few data points. For example, gross NPA is just one indicator which is a function of assets which have moved to Stage 3. You should also look at how the proportion of assets is in Stage 1, Stage 2 and Stage 3.

If you look at it, you will notice that the proportion of assets in Stage 1 have grown and within that we have seen a much better growth on ones which are at 0 DPD. So consequently, it is leading to lower credit costs. On a consolidated basis, in one quarter our credit costs are down by about 10 bps. In fact, excluding Motor Finance , they are down by about 20 bps. So, there has been a significant reduction there.

The other thing which we are also seeing is that the missed payment rates have also improved in Q3 over Q2. So, collection efficiencies are also showing a better trend. If you notice in our presentation on slide 16, we have also shown the slippages in the unsecured retail business and they also show a significant improving trend. We have given the numbers there. So, I would say we definitely have seen on asset quality, Q3 being very good.

Abhijit Tibrewal: So, the confidence in unsecured business is pretty much there, right? Basically, like you mentioned on your slide number 16? Yes. So, the trend of acceleration in unsecured business should continue.

Rajiv Sabharwal: See, the other point we have also stated there , besides slippage , the trend on disbursements has improved. There is a lag always between seeing that impact on AUM. So, that impact on AUM will become visible in the next few quarters and as the AUM grows, because disbursements precede AUM growth and you will see AUM growth happening in the subsequent quarters and as and when that happens, you will see the gross NPA rat io also dropping.

Abhijit Tibrewal: The last question I have was .

Moderator: Sorry to interrupt in between. Abhijeet, your voice is not audible.

Abhijit Tibrewal: Is it better now?

Moderator: Yes.

Abhijit Tibrewal: Yes. So, the only last question I

am going to ask when we discuss why we have such strong growth in the industry. But the only thing which I wanted to understand here is that you remember just two quarters back, we were talking about some stress in terms of unsecured busin ess loans.

And then at that same point, we heard that a lot of these unsecured business loans are now getting consolidated into LAP, which is obviously good win-win for everyone, for the lender as well as for the customer , because for the longer tenure, could ask more rate . So, what are your thoughts on this part? Do you think this could really be the case or do you think this is just organic demand coming into LAP?

Rajiv Sabharwal: Actually, I am not able to get your final question. Sorry. Your voice is somehow breaking off in between.

Abhijit Tibrewal: Maybe I can take it offline.

Rajiv Sabharwal: Okay.

Abhijit Tibrewal: Thank you so much.

Rajiv Sabharwal: Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life Asset Management Company Limited. Please go ahead.

Himanshu Taluja: Thank you, sir. Thanks for the opportunity and congrats on the quarter. Just one question at my end. If I can just help me understand, how is the margin profile of the Tata Housing business, given I could not see the margins. But when I look at when the A UM growth is around 30%, your total net income growth is around 29%.

Can you just help me understand how the margin profile is and are you not seeing any competitive pressures given you also have a prime book, both prime housing and the prime LAP, where rate transition is also there. Second, competitive intensity also remains high. And so overall how should one expect these trends over the coming quarter? Yes, that's it from my end. Thanks.

Rajiv Sabharwal: So, you are absolutely right . There is competitive intensity in this business and more so it is there in the prime business. What we have seen over the last two quarters, let's say Q2, Q3, our margins have been stable at similar levels. So, we did get some benefits of a lower cost of funds, but they have actually got translated into them being passed on to the set of borrowers.

So, to that extent we have seen stable margins in this business. Competitive intensity remains high, but equally important is the fact that the market continues to grow and there are opportunities to lend. We are investing a lot more in the affordable market and also looking at expanding our distribution in those markets. So, to that extent we believe even if there is competitive intensity, we should be able to retain or improve margins.

Himanshu Taluja: Okay. So, one should expect your stable margins even in the coming quarters as well from this portfolio of housing?

Sarosh Amaria: Yes, that's right. As Raj iv alluded, the growth is not just in prime, but also we are focusing on the affordable as well as micro -housing. So, all our branch expansion in the last one year has been in the affordable and the micro -housing. So, along with prime we are looking at near prime, affordable as well as micro -housing to see that our margins are protected.

Rajiv Sabharwal: This was Sarosh, the MD of the Housing Finance.

Himanshu Taluja: Yes, sure. Just one small, if I can just ask one more question. On the personal and the business loan which is put together close to 9 % to 10% of the book, how you are seeing the incremental business momentum? Sorry, I joined this call late. If you have already answered, so if you can just highlight a brief, how you are seeing the incremental trend from a momentum perspective both in personal loan and business loan and how is the asset quality also panning out in these segments? Tha nks.

Rajiv Sabharwal: So, Himanshu, if you would just also look at the slide 16 of our presentation, we have stated here the mo

mentum which we have seen on disbursements. As you would remember, we had gone conservative in this business last year where we had slowed down and mad e our policies tighter, more so in personal loan as well as micro -finance business , because that's where we faced more stress. However, as we had mentioned before, we started seeing things improving from Q2.

So, Q2 was better than Q1, Q3 was better than Q2 plus all early indicators of the new business booked over the last 15 months were showing better metrics which gave us the confidence to again invest in distribution and grow our business , and that's the trend which is visible on slide 16 on all our unsecured businesses.

Parallelly, we also have seen slippages go down, that data also we have stated on that slide. So, we are clearly seeing improving trends on quality as far as slippages are concerned or bounce rates are concerned and we have been able to build momentum for growth.

Himanshu Taluja: Sure. Thanks a lot.

Rajiv Sabharwal: Thank you.

Moderator: The next question is from the line of Shubhranshu Mishra from Philip Capital. Please go ahead.

Shubhranshu Mishra: Hi, good evening. Three questions. The first one is what is the FEMI rates in personal loans and business loans?
Management: What rates?
Shubhranshu Mishra: First EMI bounce rates. The second is on the housing piece. What is the LTV and the FOI R on prime, near prime and affordable? And the third is when we talk about the transformation in Tata Motors, sorry, the Motor Finance , my bad. The used vehicle presently that we have is of Tata Motors vintage and when we are talking about new OEMs, non -Tata OEMs, this would be in commercial vehicles as well as passenger vehicles. That's a little hazy if you can speak about the Motor Finance transition in these two aspects. It wil l be really great. Thanks.
Rajiv Sabharwal: So, when we talk about Motor Finance , we are referring only to the commercial vehicle business. And when we say that non-Tata proportion for quarter 3 for new commercial vehicles is about 19%, it is all about commercial vehicles and not PVs. On the other point on Motor Finance was.
Shubhranshu Mishra : See, used vehicles in that is .
Rajiv Sabharwal: Used vehicles, ye s. So, used vehicles as a proportion of Motor Finance was about 30% and we have tried to increase that proportion on incremental sourcing and we were close to about 45 %-47% in quarter 2.
In quarter 3, as I stated earlier, there is some moderation on that because we have seen a better demand in new vehicles consequent to the GST reduction and some amount of going down in demand in used in October -November, which is again pick ed up in December. And so, going forward, we have stated that we will increase the proportion of used commercial vehicle in our total disbursements.
As far as your question on FEMI is concerned, we have not stated FEMI numbers, product -wise, but I can only tell you this that FEMI numbers have been coming down over the last, I would say, 14 -15 months. We have seen gradual reduction happening because we had tig htened our credit policies and increased the number of checks which have helped us in getting the credit quality better, which is now showing in terms of lower slippages.

If you would also notice on slide number 24, we have also stated collection efficiencies for different products. And if you would notice, collection efficiencies for personal loans have also been inching up as well as for business loans. So, all that has been positive for us. So, both personal loans and business loans, we are clearly seeing, the bounce rates on FEMI continue to come down. I would request my colleague Saro sh to talk a little bit about LTVs, which you asked for.
Sarosh Amaria: So, LTV depends on what is the size

of the loan, but on an average, the LTV is below 60% on most of our loans. In the prime segment, it is slightly higher, but in the affordable segment, as well as in our home loans, our average LTV is 62%. And as well as home equity, average LTV is around 45%. So, that's for the housing finance business.
Shubhranshu Mishra: Affordable housing is how much you said, 60%?
Sarosh Amaria: Affordable is much lower. Here we have a classification of for home loans as well as home equity, but when home loans is 62 %, the affordable will be much lesser than 62%.
Shubhranshu Mishra: Just one follow -up question on used vehicles, that is presently also Tata Motors OEM used vehicles?
Rajiv Sabharwal: No. Actually, even when Tata Motors Finance was doing used commercial vehicles, they were agnostic to the brand.
Shubhranshu Mishra: So, used vehicles is agnostic to OEMs?
Rajiv Sabharwal: Correct .
Shubhranshu Mishra: And the FEMI is now in single digits?
Rajiv Sabharwal: No, we have not stated FEMI numbers .
Shubhranshu Mishra: No. Don't give the number. Just say if it is in single digit or double digit. That's all.
Rajiv Sabharwal: I will have to get back to you. I don't have it ready in front of me, but I will try to get back to you.
Shubhranshu Mishra: Right . No worries. Thank you so much. Best of luck for ensuring quarter.
Sarosh Amaria: Yeah, just as we spoke about our affordable business, the LTV is 57%.
Shubhranshu Mishra: Right. Thank you so much. This was really helpful.
Moderator: Ladies and gentlemen, that will be the last question for today. I would now like to hand the conference over to Mr. Viral Shah for the closing comments.
Viral Shah: Hello. Thank you, Rajiv, Rakesh, Sandeep and the Tata Capital team. Rajiv, do you want to make any closing comments?

Rajiv Sabharwal: Thank you so much. I have covered most of the things. I would just like to say that we have started to see good momentum all across in all segments and we expect it to continue in quarter 4. In fact, as we are planning for the next year, we do believe the momentum will continue. As far as credit cost is concerned, we are coming close to what our guidance is and in terms of what guidance we had given for FY ’28, I think we should be able to reach there much before than what we had stated.

We are seeing the benefits on operating efficiency play out and as more of our AI and Gen AI projects come into play, I think the benefits will become even more stronger. So, we remain bullish as we move forward and we would be performing as per the guidance we have stated.

Moderator: Thank you very much. On behalf of Tata Capital Limited, that concludes this conference. Thank you for joining us today and you may now disconnect your lines.

Note

This transcript has been lightly edited for clarity and accuracy.

Call: Apr 2026

April 29, 2026

To,
The Listing Department
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400001
Scrip Code: 544574
To,
The Listing Department
National Stock Exchange of India Ltd.,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051
Symbol: TATACAP

Dear Sir / Madam,

Sub.: Transcript of media call and Earnings Conference call with Analysts and Investors for the quarter and year ended March 31, 2026

Ref.: Tata Capital Limited ("Company")

We wish to inform you that pursuant to Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time, the transcript s of the media call and earnings conference call with analysts and investors held on April 23, 2026 , in relation to the Audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended March 31, 2026 , are enclosed herewith.

The same is also available on the website of the Company at the below link:

https://www.tatacapital.com/about -us/investor -information -and-financials.html

We request you to take the above on record.

Thanking you,

Yours faithfully,

For Tata Capital Limited

Sarita Kamath
Chief Legal and Compliance Officer & Company Secretary

Encl.: as above

"Tata Capital Limited
Q4 FY '26 Media Conference Call "
April 23 , 202 6

MANAGEMENT : MR. RAJIV SABHARWAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – TATA CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Capital Q4 FY '26 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

I now hand the conference over to Mr. Rajiv Sabharwal, Managing Director and CEO of Tata Capital. Thank you and over to you, sir.

Rajiv Sabharwal: Thank you very much. Good evening to everyone and thank you for joining us. Let me start with the macro environment. India's economy delivered a steady growth in FY '26 underpinned by resilient domestic consumption. Inflation moderated for most of the yea r. RBI continued its easing cycle with a cumulative 125 basis points cut supported by active liquidity management.

March being the end of the year also saw peaking of credit demand with system credit expanding at 16% Y -o-Y. This was led by steady demand in retail and select wholesale segments.

Looking ahead, growth momentum could moderate amid a more uncertain external environment.

Geopolitic al developments happening across the world, particularly in the continuing conflict in West Asia, could carry implications for inflation, energy prices, and global financial conditions.

We continue to monitor these developments closely. In parallel, evolving El Niño conditions remain an important watchpoint given their potential to impact food inflation and rural demand.

However, on an overall basis, we remai n optimistic about the growth for the next year.

Let me now turn to the highlights for the quarter. We are giving our performance both excluding Motor Finance business and then including Motor Finance business. For the performance excluding Motor Finance business, which was the acquisition which we did of Tata Motor Finance, our AUM stood at INR2.52 lakh crores growing 28% on a year-on-year basis and 8% sequentially, driven by momentum across all our business segments.

Profit after tax for the quarter was INR1 ,459 crores excluding non -recurring items, up 51% year-on-year and 14% up sequentially . This was also supported by lower credit costs with improving asset quality. Our net NPA declined by 10 basis points to 0.5%. Our return on assets improved by ~20 basis points in the quarter to 2.5%. For FY '26, profit after tax excluding non -recurring items grew by 36% with further expansion in return metrics.

Now for the performance including Motor Finance business . Our asset under management stood at INR2.77 lakh crores, up 20.0% year-on-year and up 6.0% sequentially . Credit costs improved to 0.9%, down 30 basis points from quarter 3 of FY '26. Sequentially also, profit after tax , excluding non -recurring items, grew 16.0% to INR1 ,502 crores. Our net NPA declined 10 basis points and ROA improved by 20 basis points to 2.3%.

Growth over the year remained well -balanced across products. Retail and SME segments today constitute 86% of our total assets under management, reflecting the strength and scale of our core franchise. As of March, our distribution footprint comprised of 1 ,477 branches across 27 states and union territories, supporting a customer base of over 8.4 million. The extensive

network continues to provide strong on -ground reach and support sustained business momentum.

Our AAA rating continues to support a diversified and stable funding profile. Overall cost of funds declined sequentially by 5 basis points. While we saw some increase in incremental borrowing costs in March, we remain well -positioned to manage funding costs. Liquidity buffers remain strong at approximately INR29,500 crores providing flexibility to pursue growth while managin

g volatility.

Margins remain stable during the quarter with Net total income at 6.5% in quarter 4, supported by disciplined pricing, a calibrated shift towards high -yielding segments, and a steady growth in fee income. The investments made over the past few years across technology, data, and distribution are now translating into tangible operating lev erage.

Productivity, turnaround times, and overall efficiency have improved while headcount growth has remained calibrated and aligned with business requirements. For the year ending FY '26, the cost-to-income stood at 38.3%, an improvement of approximately 335 b asis points year-on-year.

On technology front, we continue to scale Artificial Intelligence across the lending value chain.

Platforms such as Underwriting Assist, our AI -enabled Voice Hub, and the Document Intelligence Engine are driving meaningful improvements in productivity, operating efficiency, and customer experience.

For instance, Underwriting Assist has reduced credit memo preparation time in our SME business from nearly two days to just 20 minutes, thereby improving productivity of the underwriting team by 30%. We are beginning to see similar tangible benefits across other AI -led initiatives.

Our housing finance business continued its strong performance in quarter four of FY '26 with AUM growth at 29% year-on-year to INR86,653 crores and profit after tax growth of 34% year-on-year. The focus on affordable housing and loans against property continues to support margin expansion and portfolio diversification.

In Motor Finance, we achieved break -even in quarter 3 of FY '26 and profit after tax for quarter 4 was INR43 crores. While we saw AUM declining sequentially in Motor Finance business, it was a conscious strategy to focus more on fitness first and ensure that we get to right profitability metrics before we push the momentum on growth. Portfolio mix diver sification, tight risk discipline, and operating model alignment are increasingly reflected in our performance metrics.

To conclude, FY '26 reflects disciplined execution and strong fundamentals across growth, asset quality, and profitability. With sustained momentum across retail and housing, improving performance in the Motor Finance business, and adequate capital buffer s, we are well -positioned to deliver on our guidance for FY '28.

With that, we are happy to take questions from all of you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Saloni Shukla from The Economic Times. Please go ahead.

Saloni Shukla: Hi, sir. Good evening. Sir, just wanted to understand more on the comments that you made pertaining to West Asia. So we've seen more than one month of the impact play out of the war and its impact on the supply chain. So on your clients particularly and the segments that you operate in, could you give some more color on the impact that you're seeing and because it still continues going forward, what impact are you seeing? And then I'll come to my second question.

Rajiv Sabharwal: Thanks, Saloni. So we've been looking at our portfolio in all segments. When we looked at it, we did not find any significant impact. Even marginal we did not see at this point of time. When we talk to clients who are there in the SME or the large corporate side, they have stocks of raw materials and which is helping them tide over this situation.

Similarly, they are saying that raw material is available and they are able to produce. There's been some impact on their cost structures, but as most of them are saying that they are able to pass this on. But otherwise, nobody has spoken about any significant disruption in any way.

Saloni Shukla: Okay. And sir, my last question is that, because since you operate in multiple lines of business, home loans and Motor Finan

ce as well now, MSME, for FY '27 could you elaborate what would be some of the biggest levers of growth for Tata Capital? Thank you so much.

Rajiv Sabharwal: So if you, Saloni, look at our portfolio, about 86% of our business comes from the retail and the SME business. If you look at our growth rate and I will talk about some of the larger segments, if you look at our housing finance company, that's grown at a bout 29% to 30%. So that growth has been robust and we believe that we will be able to continue the same going forward too.

Similarly, if you look at secured retail for us, that's grown at a growth rate of close to about 28 % or so and we expect to have a strong growth in the coming year too. In the SME side, we saw growth picking up in quarter 3 and quarter 4 post the GST reduction which happened. As you also know that there is an increasing demand for working capital cycle. We believe that will also help us to translate that into growth for the coming year. So the SME segment should also provide us with good growth.

Motor Finance was a business which we consciously recalibrated in the last year, but we should start seeing growth happening in that business also from the first half of FY '27. So , I would say if you looked at all our businesses, we should see growth happening everywhere, but some segments will grow more than the others like housing, and within housing , affordable housing will grow at even better pace than overall housing.

Retail secured will see good growth, retail unsecured is also performing well and should see good growth, and the SME segment. All of these segments we expect to accelerate further on growth in the coming year s.

Saloni Shukla: Thank you, sir.

Moderator: Thank you. Your next question comes from the line of Anirban Nag from Bloomberg. Please go ahead. Anirban, your line is unmuted. Please proceed with your question. As there is no response from the line of current participant, we'll move on to the next que stion. The next question comes from the line of Shayan Ghosh from Mint. Please go ahead.

Shayan Ghosh: Hi, sir. My first question is with regard to this disclosure on credit cost, 14 basis points that you have mentioned here. So this 14 basis points, is it a reduction primarily because of the AI platform? Could you talk about that please?

Rajiv Sabharwal: Yes. So two parts to this. When we talk about the reduction in credit costs and if you see our quarter four credit costs are probably amongst the best in the NBFC industry and same is true for the full year's credit costs. I would say two things are helping u s here. One is obviously our whole credit engines because we've focused a lot on trying to use analytics far more in our decisioning process which is helping us ensure that our credit costs are low.
The other is , also I would see the emergence of GenAI in helping us in building out the models for credit because today we not only can use structured but also ingest unstructured data and do it on the go to make decisions. So I would say it's a combination of both, bu t it's been our strategy to be more conservative in terms of our approach towards credit.
Shayan Ghosh: Right. And sir, the statement that our portfolio monitoring platform has helped strengthen risk management and reduce credit cost by 14 basis points in FY '26, so that is attributable to your AI engine, is that correct, that 14 basis points?
Rajiv Sabharwal: So I see, I always say, AI is a tool for you which is built on your intelligent processes and your ability to use data and do use data in the real -time basis. So the engine helps us, to do things faster and to use multiple sources of information, but also parallelly the brain behind is the credit policy and the approach which we have in terms of using available data to make credit decisions.
So AI helps in making it better, but if your

credit policies are not strong, if your processes are not strong, then AI may not be able to assist you. So it's a combination of both of them when they work in tandem that you see more benefits coming in.
Shayan Ghosh: Okay. And just to clarify that the consolidated annual credit cost reduction from 1.2% to 0.9% between Q3 and Q4...
Rajiv Sabharwal: Yes. Yes. Sorry, I couldn't hear your question.
Moderator: Shayan sir, could you please repeat your question?
Rajiv Sabharwal: Shayan, we are not able to hear you.
Moderator: Shayan sir, your line is gone blank. As there is no response from the line of the current participant, we'll move on to our next question. Our next question comes from Archishma Iyer from Moneycontrol. Please go ahead.
Archishma Iyer : Yes sir, good evening. I just had a couple of questions, probably one. So I'm presuming this is the first full year of operations after the merger with Tata Motors Finance . I think , that got

operationalized the first quarter after operationalization was Q1. So I just wanted to understand how well has the integration worked out and has it also realized the benefits of the merger in the fiscal year that happened?
Rajiv Sabharwal: So, thank you so much for the question. Yes, actually we got all our approvals for merger in quarter 1 of FY '26 and we've been working on ensuring that the integration was smooth and also, we could take benefits of the strengths which Tata Motor Finance had built and wherever there was a need to make any changes, so we could make the same.
So in terms of our strategy, it was based on moving away and having more manufacturers with whom we deal with and not be dependent on one single manufacturer. We've moved very well on them. As far as incremental business is concerned, now one -fourth of our b usiness comes from other manufacturers beyond Tata.
We also wanted to change the mix of products so that we can have the right mix between used commercial vehicle, medium and small commercial vehicle, and heavy commercial vehicle.
We've moved in that direction too where the proportion of used and medium to small has increased and the proportion of heavy has reduced.
The other was to strengthen our credit processes and you can see the results that we've put our investor presentation and you can see the credit costs which have come down during the year for there. So that strategy has also worked. The other was on integrating the IT system and seeing the benefits on operating efficiency. That have also started to become visible from quarter 4 of this year.
So I would say the overall strategy which we had put in place where we wanted to make this business extremely profitable for us over the next three years, that's very well in motion. In the first year itself, we broke even in quarter 3 and have made money in quarter 4 and which will keep increasing going forward with every passing half year or so.
So from that perspective, we're pretty happy with where we are and we only see this getting better in the coming quarters.
Archishma Iyer : Yes, sure. Thank you, sir. Just another question is what is your stance on now unsecured lending because you had said that retail unsecured will see good growth and seeing that it has occupied at least 10 % of your AUM this loan book here. So what is your outlook for this particular segment in the next two -three quarters per se?
Rajiv Sabharwal: So I would say that if you look at our presentation and we've tried to share the picture of that in our investor presentation which has been uploaded on Slide 16. What we have shared in numbers

too is that after quarter 1, our credit costs in unsecured business have been coming down quarter -on-quarter. Our quarter 2 was better than quarter 1, quarter 3 was better than quarter 2, and quarter 4 was better than quarter 3.
So we've seen significant drop which h

as been happening and that's the reason we've started looking at increasing our disbursements in each of these businesses. We started activating the same post quarter 1 and if you look at those numbers, our disbursements in each of the unsecured

businesses, whether it's personal loans, business loans, or microfinance business, is increasing and that's an increasing trend in every quarter.
The other is also our slippages have been dropping every quarter and so is the credit cost in each one of them. So we do expect in the coming year that our proportion or our mix of unsecured business, which is more closer to 10 % now, will inch up in the coming year and we expect it to increase more closer to at least a percentage more in the overall scheme of things.
Archishma Iyer : Okay, sir. Okay. Thank you. Thank you so much.
Moderator: Thank you. Your next question comes from Shayan Ghosh from Mint. Please go ahead.
Shayan Ghosh: Yes, hi. Sir, I had a clarification. So going back to the point about credit costs. So as per your presentation, the credit costs including Tata Motors Finance is 1.2% for the whole of FY '26 and FY '25 was 1.4%. So I'm assuming a 20 bps reduction in credit c ost here and of that you're saying 14 basis points was because of the portfolio monitoring platform. Is that correct? Is that correct reading of the thing ?
Rajiv Sabharwal: So when you look at our credit costs , for the whole year in FY '25, it was 1.4% and if I break it up a little more and we've given this data for quarter 1, quarter 2, quarter 3, quarter 4. In quarter 1, it was 1.6% which dropped to 1.3% in quarter 2, dropped to 1.2% in quarter 3, and dropped to 0.9% in quarter 4. So when we say this drop has happened, then it is a combination of all of this, yes, and when we say it's reduced by 14 basis points in FY '26, it has come down and the combination of AI and as I mentioned our policy has helped us in this process.
Shayan Ghosh: Got it. Sir, would you also give an outlook for FY '27, what kind of AUM, what kind of loan book growth are you looking at?
Rajiv Sabharwal: So if you look at our guidance for FY '28, we had given a guidance for FY '28 where we had stated that over the period of FY ‘25 to FY '28, we will grow at 23 % to 25 %. So we are on track and working towards the same.
Shayan Ghosh: Okay. All right. Thank you.
Moderator: Thank you. Your next question comes from the line of Ashish Agashe from PTI. Please go ahead.
Ashish Agashe: Yes, sir. Sir, you had mentioned that okay the wider geopolitical sort of events make you feel cautiously optimistic about FY '27. So where would this caution be exercised the most by the business? What are the areas where probably we will see some bit of extra diligence in your outlook and like also , a lot is being written and said about MSME that constitutes a fairly big proportion for the company as well. So what like how would you look at the MSME part specifically, sir?
Rajiv Sabharwal: So actually we've been looking at the impact of the war virtually on a weekly basis because there are so many developments which are happening and to be honest with you, things are getting discovered with every quarter where what the impact is. As I mentioned to you some time back,

I've said that we are in touch with clients and when we speak to them, as far as our clients are concerned, they seem still in control of their production cycles wherein they are able to procure raw material and then supply it to their distribution chain.
In terms of our assessment, we feel that we should be more careful in certain parts of the MSME business and this is where our messaging to our credit team is that you should look at some segments within the MSME and try to understand more, more from the working capital cycle at this point of time

and availability of raw material. So our caution as far as impact of the war is there, it's more on the MSME segment.
Ashish Agashe: Okay, sir. Sir, just a small number question. You mentioned about a fourth of the incremental loans for Tata Motors, what was earlier Tata Motors Finance, coming in from the Tata business. Overall at a Tata Capital level, sir, including -- you'd also be supporting or you'll also be latching on to the supply chain opportunity which comes out of the Tata Group. So how much of the business would be linked to Tata Group per se, sir, and how much would be outside the non -

captive part, sir?
Rajiv Sabharwal: So if we look at the business within the ecosystem of -- see we do not have much of lending directly to Tata companies. As we focus more on the ecosystem of the Tata companies and if I look at that business, that will be slightly lesser than 3 % of our total business.
Ashish Agashe: So just to confirm, 3 % of the overall business would be in the ecosystem?
Rajiv Sabharwal: Yes, it'll be about 2.8% to 2.9% in that range.
Ashish Agashe: Okay, sir. Okay. Got it, sir, got it. And sir, by FY '27 end, how do you see the loan book split? Sir, right now it is 86 % SME retail. You mentioned about unsecured also growing. So how do you see the loan book split, sir, the AUM split?
Rajiv Sabharwal: So if I have to hazard a guess for the coming year, since our housing business and our retail business may grow at a slightly higher pace than the others, we expect a slight increase in retail and housing. So in the mix that retail plus SME business may i nch up by a percent or so in the next year.
Ashish Agashe: Okay, sir. Okay. Sir, if I can put in one more question or I'll come back, whichever way, sir.
Rajiv Sabharwal: Go ahead, please go ahead.
Ashish Agashe: Yes, sir. Sir, just on the margin front, you are maintaining margins for now in FY '26. What sort of outlook are you keeping especially with conversations of a rate hike as well coming in and other aspects related to it and how will you be managing your b orrowings in FY '27, sir? Any changes there?
Rajiv Sabharwal: So see our approach on borrowing is always that we should be well -diversified and we look at optimizing our costs of borrowing. As far as our overall book is concerned, we have a fairly matched book as far as long -term assets and long -term liabilities are concerned and to that extent

in case there is an increase or decrease in cost of funds, we are able to pass on the benefit or the impact.
So that way our book is fairly balanced. However, our approach as we have communicated in the past is to increase the proportion of high -yield businesses. When I say high -yield businesses, they are like affordable housing business for us, unsecured busines s for us, two -wheeler business for us, secured business loans. So some of the products like this. So since we are trying to increase them at a slightly faster pace than the other businesses, we expect margins to improve slightly going ahead. So that is our approach as far as FY '27 is concerned.
Ashish Agashe: Any target level, sir?
Rajiv Sabharwal: It's very difficult to say at this point of time, but the direction will be as I communicated to you.
Ashish Agashe: Okay, sir. Thank you so much.
Moderator: Thank you. Your next question comes from the line of Anshul Choudhary from Informist Media. Please go ahead.
Gunjan Hi, Gunjan this side, I'm Anshul's colleague. Sir, I want to know, retail and SME accounts for m 86% of your AUM. Considering the West Asia crisis which may have a stronger amplification for MSMEs, can you share your guidance on asset quality and slippage?
Rajiv Sabharwal: So as far as, you know, our assessment as of now of what has happened and the way our book has been built up, we do not expect any significant impact because of this. Obviously,

we will need to continue to watch this going forward. But if you look at our approach towards business, our retail unsecured forms just about 10 % of our total book.
If you look at our book, it's fairly well -diversified across products, across geographies, and it's pretty granular in terms of our ticket size too. So our approach has been to remain diversified and to remain largely secured and to be well -spread across g eographies and retain a reasonable ticket size rather than any high -ticket size. So with that approach, we do not expect any significant impact to happen. In fact, whatever guidance we had given out in terms of credit costs, we are well within that and we expect to remain.
Gunjan: But you do aim to increase high -yield businesses like unsecured loans. Like if you can give me a number.
Rajiv Sabharwal: So we want to increase the proportion of those businesses. So in the overall , when I say that our guidance towards FY '28 is that we will grow our overall book at 23 % to 25 % and if we are growing our high -yield businesses slightly more, so it will be more than 25 % for the average to be 23 % to 25 %.
Gunjan: Thank you, sir.
Rajiv Sabharwal: Thank you, Gunjan.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference

over to Mr. Rajiv Sabharwal for closing comments.
Rajiv Sabharwal: So thank you so much. I think on an overall basis, we are still very optimistic on the India growth story and we are truly representing the economy in terms of being present in all segments of business and being present across the country. We do believe that the country has managed the situation, the war situation very well and we're hopeful that the same will be managed in the future too.
Our diversified product portfolio and our approach of risk first will help us in managing growth with good quality. We remain committed to the guidance which we have given to the market and we will work towards performing well on the same. I'd like to than k everyone for joining us and hearing to our story. Thank you very much.
Moderator: Thank you. On behalf of Tata Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note
This transcript has been lightly edited for clarity and accuracy.

“Tata Capital Limited
Q4 FY26 Earnings Conference Call ”
April 23, 202 6

MANAGEMENT : MR. RAJIV SABHARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA CAPITAL LIMITED
MR. RAKESH BHATIA – CHIEF FINANCIAL OFFICER –
TATA CAPITAL LIMITED
MR. SANDEEP TRIPATHY – HEAD OF STRATEGY AND
INVESTOR RELATIONS – TATA CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Capital Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and the n zero on your touchtone phone.
I now hand the conference over to Mr. Sandeep Tripathy , Head of Strategy and Investor Relations at Tata Capital. Thank you and over to you, sir.

Sandeep Tripathy : Thank you, Sagar. Good evening everyone and welcome to Tata Capital's Q4 FY26 Earnings Call. We hope you have had the opportunity to review our financial results, press release, and investor presentation filed with stock exchanges. Joining me today are Mr. Rajiv Sabharwal, MD and CEO, Mr. Rakesh Bhatia, CFO, and our senior leadership team. I wil l first invite Rajiv to share his perspectives on our performance for the quarter, following which we will open the floor for questions. With that, over to you, Raji v.

Rajiv Sabharwal: Thank you, Sandeep. Thank you everyone for joining the call. Let me start with the macro environment and then I will move on to the performance. India's economy delivered steady growth in FY26 with real GDP estimated at around 7.6% underpinned by resilien t domestic consumption. Inflation moderated for most of the year with headline CPI averaging below RBI's medium -term target, though price pressures began t o firm up towards the year end.

From a policy perspective, FY26 continued to be RBI's easing cycle which began in February 2025. A cumulative 125 basis points of repo rate reduction supported by active liquidity management helped balance growth support with financial stability. Liquidity conditions tightened towards March, leading to some hardening in rates, but these pressures have since shown signs of easing. March being the end of the year also saw, as always, peaking of credit demand with system credit expanding to 16% year -on-year l ed by steady demand in retail and select wholesale segments.

Looking ahead, growth momentum could moderate amid a more uncertain external environment. Geo-political developments, particularly the continuing conflict in West Asia, carry implications for inflation, energy prices, and global financial conditions, and w e continue to monitor developments closely. In parallel, evolving El Nino conditions remain an important watchpoint given their potential impact on f ood inflation and rural demand.

Now let me turn to the key highlights for the quarter, both on consolidated basis including motor finance and excluding motor finance. So we have been communicating both on an overall basis and also excluding motor finance, and we will do so in this quarterly call too.

Excluding motor finance business, our AUM stood at INR2.52 lakh crores, growing 28% year -on-year and 8% sequentially, driven by sustained mom entum across our core segments. Profit after tax for the quarter was INR1,459 crores, excluding non -recurring items, up 51% year -on-year and 14% up sequentially. This was supported by lower credit costs at 0.8% and continued improvement in asset quality with net NPA declining by 10 basis points to 0.5%. Return on assets improved by ~40 basis points year -on-year and ~20 basis points sequentially to 2.5%,

which is at the higher end of our guidance. Return on equity improved by ~40 basis points year -on-year to 14.6% in quarter four of FY26. For the full year FY26, profit after tax excluding non -recurring items grew 36%, exceeding our guidance of 32% to 35%, with return on assets improving by ~20 basis points to 2.2%.

Now talking about our performance including motor finance business. Our assets under management stood at INR

2.77 lakh crores, up 20% year -on-year and up 6% sequentially. For the quarter, credit costs improved to 0.9%, down ~30 basis points from quarter three of FY26, and PAT grew 16% sequentially excluding non -recurring items to INR1,502 crores. Return on assets improved by ~20 basis points quarter -on-quarter to 2.3% and ROE improved by ~80 basis points from quarter three to 13.9% in quarter four of FY26. O verall, our quarter four and FY26 performance is well aligned with our guidance across all metrics. I will now walk you through our performance across five key themes, followed by updates on our technology and digital initiatives and our housing finance an d motor finance business.

First, talking about the book growth. I am pleased to share that we have delivered on our targeted AUM growth, recording a 20% year -on-year increase in line with the guided range of 18% to 20%. Importantly, this growth continues to be well balanced across segments, products, and geographies. Excluding the motor finance business, our AUM growth was even stronger at 28% year-on-year, exceeding our guidance of 22% to 25%.

Within this, our housing finance segment continued its strong momentum with the housing finance company delivering a 29% year -on-year growth. Our core focus remains firmly on retail and SME lending, which together continue to account for 86% of our AUM, pr oviding a structurally granular and resilient growth profile. We also saw a modest increase in corporate exposures during quarter four of FY26, reflecting our ability to selectively participate in high quality opportunities within a well -diversified portf olio.

Quarter four set a new benchmark with disbursements crossing INR50,000 crores, a first for the company and a testament to our growing scale. Year -on-year, quarter four disbursements grew 32% and were 12% higher sequentially. Retail momentum remained strong with healthy sequential expansion in the book. Our unsecured retail disbursements continued its momentum, growing at ~50% year -on-year in quarter four of FY26 on back of improving asset quality trends.

With unsecured retail currently at 10.3% of AUM, we continue to see significant headroom towards our target of scaling this to 15% and we remain firmly on track to achieve this. As of March, our distribution comprised 1,477 branches across 27 states and union territories. This, combined with our digital capabilities, enables us to scale efficiently while deepening our presence across both existing and underpenetrated markets, serving a growing customer base of 8.4 million now.

Overall, our growth remains consistent, well -diversified, and anchored in quality, positioning the portfolio strongly for the next phase of expansion. The second theme I want to cover is asset quality. Asset quality in Q4 has been the strongest over the recent quarters. We saw a meaningful improvement across metrics. Slippages declined to their lowest level over the last eight quarters,

including that in unsecured retail segment, reflecting the continued quality of our underwriting and effectiveness of our collections infrastructure.

As covered in slide 16 of our investor presentation, slippages in personal loans and microfinance have declined 60% and 70% respectively. Excluding the motor finance business, gross stage 3 assets continue to remain strong at 1.5%, net stage 3 at 0.5%, and provision coverage ratio at 65.1%. Credit cost declined to 0.8% for the quarter, reflecting a ~20 basis points improvement over quarter three.

Including the motor finance business, our gross stage 3 assets were 2% compared to 2.2% in the previous quarter, net stage 3 at 0.9%, and provision coverage ratio at 56.2%, all showing quarter - on-quarter improvement. Credit costs improved by ~30 basis points to 0.9% during the quarter. The metrics on credit cost and net stage 3 are in line with our guidanc

e for quarter four F Y26
and for the full year FY26.

As far as risk from geo -political environment is concerned, we have not observed any material stress in our portfolio across commercial vehicle as well as MSME segments. That said, we continue to monitor the developments closely, virtually spending time on this on a weekly basis to see where things are progressing. Overall, we remain confident in the trajectory of our asset quality and are committed to sustaining these improvements in the quarters ahead.

Third theme I want to touch upon today is cost of funds. Our AAA credit rating underpins a well-diversified and stable funding profile. Through a disciplined ALM framework, we continue to optimize our borrowing mix while proactively managing liquidity. For quarter four, our overall cost of funds stood at 7.1%, reflecting a ~5 basis points reduc tion from quarter three levels.

In line with recent global developments, we have seen an uptick in funding costs on incremental borrowings. We continue to proactively manage our liability profile and remain well -positioned to maintain stability in our overall cost of funds going forward. We carry a total liquidity buffer of ap proximately INR29,500 crores and we have ample headroom to pursue growth opportunities and absorb market volatility without compromising on financial discipline.

Next theme is margins. We continue to operate with stable margin corridor with Net total income in quarter 4 at 6.5%. Yields have remained healthy supported by disciplined pricing and a calibrated shift towards higher yielding segments. At the same time, we continue to maintain a balanced mix across higher yielding products including unsecured retail, affordable housing, and secured business loans alongside steady growth in fee -based income.

Our continued emphasis on portfolio granularity and mix optimization has further supported margin stability even as we scale the book. During the last month of the quarter, we saw some mark -to-market movements in our investments reflecting broader market c onditions during the period. These, we believe, are temporary valuation adjustments with no impact on long -term view on the investments.

Now talking about operating leverage. The investments we have made over the last few years across technology, data infrastructure, and distribution expansion are translating into structural

improvements in efficiency and scalability. We are seeing tangible gains in productivity, turnaround times, and overall operating efficiency and we expect the positive trajectory to continue as these investments scale further.

Our headcount growth has remained well calibrated and aligned with business requirements with incremental hiring happening largely in front -end roles in sales and collections. This enables us to support growth while continuing to enhance productivity and d rive operating leverage across the organization. Our on -roll employee count stood at 29,816 as of March end.

For FY26, the cost to income ratio stood at 38.3%, representing an improvement of 335 basis

points over FY25 and remaining comfortably within our guided range of 38% to 39%. On our balance sheet, our balance sheet remains strong, well -capitalized, providin g a strong foundation to support our growth ambitions.
As of March 2026, our capital adequacy remains robust at 19%, well above regulatory requirements, and is supported by strong common equity Tier 1 ratio reflecting the underlying strength and resilience of our capital position. Our debt to equity ratio stoo d at approximately 5.3x as of March 2026.
A quick summary of our AI initiatives. Our AI initiatives initially focused on point solutions such as in call center and customer service. We are now scaling these capabilities across the lending value chain and moving towards more integrated end -to-end deployment that we expect

will drive mea surable improvements in operating metrics across businesses.
We have a number of flagship initiatives live today and let me highlight a few of them. Our underwriting assist platform, amongst the first in the industry, has reduced credit memo preparation time from 2 days to 20 minutes in our SME business, thereby improving productivity of the underwriting team by 30%. The adoption rate of underwriting assist platform today stands at 85%.
Our unified voice hub operates across sales, service, and collections in 11 languages. 90% of welcome calls are automated and AI -driven early bucket calling is delivering 30% EMI collection of the allocated pool. Our document intelligence engine has proces sed over 2 crore s documents and currently runs with 80 -plus operational bots improving productivity of operations team by 35%.
Talking a little bit about our housing business. Tata Capital Housing Finance continued its strong performance trajectory in Q 4 of FY26 , delivering healthy growth alongside improving profitability. Our AUM grew 29% year -on-year to INR86,653 crores, while profit after tax increased 34% year -on-year reflecting both scale expansion and sustained earnings quality.
Our strategic focus on affordable home loans, affordable loans against property, and prime LAP enables us to drive margin expansion, portfolio diversification, and scale. Net AUM of affordable housing segment grew by 25% year -on-year. We are now operating through a network of 350 branches supporting deeper market penetration.

Our focus on automation, Gen AI, and tighter operational control has resulted in improvement of cost to income ratio by ~320 basis points from 34.3% in FY25 to 31.1% in FY26. In fact, this cost to income dropped below 30% in quarter 4 of FY26. Asset quality continues to be our core strength. Credit costs remain stable at 0.1%, while net NPA stood at 0.3%, positioning us amongst the best performing players in the housing finance sector.
Tata Capital Housing Finance delivered a strong PAT growth of 34% year -on-year in quarter 4 of FY26 and 23% for the full year of FY2 6. Return on assets for quarter 4 stood at 2.6% and for FY26 ROA stood -- for the full year stood at 2.5%, highlighting the strength and sustainability of our earnings profile.
Little bit about our Motor Finance business. As you would remember, we achieved a breakeven in Motor Finance business in quarter 3 of FY26. Backed by seasonal strength and lower credit costs, profit after tax for quarter 4 in Motor Finance business was INR43 crores. The AUM stood at INR25,390 crores, a sequential decline of 4% reflecting our fitness -first approach.
Even though positive growth in AUM is lagging by about a quarter, underlying momentum is improving. Disbursements grew 32% sequentially in quarter 4 and we expect this to build as business stabilizes. The integration is on track and signs of progress are now visible in numbers.
If we talk about our portfolio mix in Motor Finance business, our non -Tata OEM share in new commercial vehicle disbursements for quarter 4 has reached 26%, reflecting early success in our multi -OEM strategy. We are increasing exposure to used commercial vehicles and small and mid-commercial vehicles while reducing our heavy commercial vehicle concentration.
Credit costs are declining with fewer slippages driven by tighter underwriting and stronger collections. Branch rationalization, focused manpower deployment, and IT integration are improving efficiency. The business is now aligned to Tata Capital's model w ith dedicated sales, credit, and collection s verticals.
We have strengthened underwriting and collections, which is showing in the book quality across cycles. With these actions in place, we expect growth to resume from the first half of FY27.
Looking ahead, we expect steady ROA improvement through FY27 and we are targeti

ng to reach
an ROA of 2% by FY28 as we had communicated before. Our focus now is on delivering consistent high quality outcomes as the transformation matures.
In the end, I would say FY26 reflected disciplined execution and strong fundamentals across

growth, asset quality and profitability. As we enter FY27, we remain focused on sustainable
quality -led growth supported by our distribution and technology strength s.
With momentum in retail and housing, improving motor finance volumes, and a strong capital
and liquidity position, we are well placed to deliver on our FY28 guidance. We thank our
investors, analysts, and partners and teams for the continued support. We'd be happy to take your
questions now.
Moderator: Thank you very much. Our first question comes from the line of Raghav from Ambit Capital.
Please go ahead.

Raghav: Hi, thanks for the opportunity and congratulations on the number s. I have three questions. One,
I think you just mentioned that there were some slippages in the CV finance portfolio in the
fourth quarter. When I'm doing my numbers and my calculations, that indicates that there have
been some net recoveries in that portf olio of about INR35 crores. Can you verify what was the
net amount, whether it's a net slippage or a net recovery in the CV finance portfolio?
Rajiv Sabharwal: Actually slippages have gone down and recoveries have improved . And that is the reason if you
look at our Motor Finance business, I'll just try to point out to that slide. Actually we've
mentioned that for the Motor Finance business , our net Stage 3 assets have come down.
In fact, as far as profitability is concerned, for quarter 4 in Motor Finance business, we've earned
a profit of INR43 crores. I would say a good portion of that has been contributed by higher
recoveries and lower slippages. And actually our credit costs are negative. Net slippages are
negative, sorry.
Raghav: Correct . That's what I was trying to understand that negative net slippages means there have
been net recoveries, right, in this?
Rajiv Sabharwal: Absolutely, Yes.
Raghav: Understood, fair. And then can you touch upon how you're looking at growth in the CV finance
portfolio in FY27? CV volumes have been very good in the second half, and ideally you should
be capitalizing on these volumes for the industry, right? So just som e thoughts on how do you
plan to capture this cycle from FY27 onwards?
Rajiv Sabharwal: So, as far as the coming year is concerned, you're right that there is strong momentum in the
commercial vehicle business . In fact, for the first time in March, we crossed a four -figure number
as far as disbursements are concerned and we expect this momentum to continue. However, we
do have a matured book in the commercial vehicle business on which we have a fair amount of
repayments happening.
So while we will grow our disbursements, the impact on the overall book growth may be more
closer to 10% as far as the book is concerned. Our disbursements will grow at close to about
80% plus, that's what we have planned in next year . But because of the matured book there are
a lot of repayments also which are happening. Consequently the book growth will be lower.
Raghav: Understood. Going into '28 maybe that 10% can pick up to a higher number?
Rajiv Sabharwal: Correct, correct. You are right. So while our disbursements will grow, book will grow slower.
Raghav: Understood. Can I ask my second question?
Rajiv Sabharwal: Sure, Raghav.
Raghav: So you seem to be pushing a lot more on corporate lending, that's visible in the numbers . I think
last quarter also it was there. And unsecured growth is also coming by, one is low margin
product, one is the other one is a high margin. So for '27, what are you thinking on product

strategy and what will you guide for in t

erms of spread expansion given that the yields have also
started to pick up?
So, one bit on what is your product strategy and I want to understand that more from a yield
expansion perspective , if there's going to be any. And then the second one is how are you looking
at cost of fund? Yes, and that should really answer my question on this side.
Rajiv Sabharwal: So, cost of funds is, I would say, a moving scale, tough to predict what is going to happen . But
based on what we have seen and our estimate is, our cost of funds for the next year FY27 should
be lower than the cost of funds for FY26. Now how much lower, time will tell, but we expect it
to be lower than FY26 on an overall basis because a lot of liabilities have got repriced last year.
As far as margins, growth and margins both I will talk about. So as far as growth is concerned,
let me first talk about, I did mention about what's going to happen on Motor Finance business.
Motor Finance is also a high margin business for us. The other un secured businesses, personal
loan, business loan and microfinance, we've given it on Slide 16 what's the momentum on
disbursement growth there.

While disbursements have started to grow in that business from -- over the last, I would say, 6 to 8 months , in personal loans, the impact on the book is less visible now because there were a lot of repayments also on a matured book, but you will see the impact on the book in FY27 where you will see significant improvement in book growth also. Same is true for b usiness loans. Business loans we expect also the book to grow at a pace better than our overall book growth rate, and same is true for microfinance. So for all these three businesses, the book growth will be higher than the overall growth rate of Tata Capital. So you wil l see an improvement in margins and growth there.
Similarly in the housing finance business, we've grown last year at about 29% in the housing finance company and we expect to grow at a similar pace in the coming year. With that, we believe that the proportion of retail business will marginally improve in our overall proportion for the coming year. And this retail and SME which forms about 86% for FY26 should inch up in FY27.
As far as FY26 is concerned, while just to give you a sense, our housing finance company grew by about 29%, our retail secured grew by about 28% . And so these were businesses which have shown strong growth. SME growth picked up in quarter 3 and quarter 4. We did see a de -growth in our book by about 24% in Motor Finance business, and part of it was made up by retail and housing and part by the corporate business. So we did see an opportunity in the corporate business of looking at very high credit rated comp anies and we did use that opportunity . But on an overall basis , 86% is retail and SME, which we expect to inch up more so because of retail, and retail includes housing in the coming year.
Raghav: Thanks . That's all from my side and thanks for the answers.
Moderator: Thank you. The next question comes from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Yes, hi. Thanks for the opportunity. Rajiv, I had two questions. One is if you can explain the , say, relatively weaker non -interest income in this quarter, like what are the internals of it and what drove that?
And secondly basically I think it's a derivative of your response to the previous question . Now currently in the rate cycle that we are in, there will be probably more opportunities that may come up in the , say, SME and corporate segment .
But given that , we also would want to from a mix perspective want to grow the retail book as well. What will be your priority to look at in terms of overall profitability and say NIMs and spreads or to basically , say, push up further more on growth at an overall level?
Rajiv Sabharwal: So, as fa

r as growth is concerned, we've given a guidance of 23 % to 25% and we want to remain in that range. Obviously , if we get an opportunity to do better we will look at it, but we want to remain in that range. As far as NIMs are concerned, our strategy has been to grow some of the high yielding products more than the others.
Last year we did suffer on that count because our unsecured business did not grow because we were - we had course corrected ourselves in FY25 and the impact was visible in book growth in FY26. Similarly our Motor Finance business which is also a high yielding business actually degrew by about 24% last year.
We believe all of this will get corrected in FY27. We expect in FY27 Motor Finance business to grow, it will grow and we also because of the disbursements which have picked up in the unsecured business we expect unsecured business to grow at a faster pace than our overall book growth.
Similarly our affordable housing within housing is growing at a faster pace and we will see that also helping us in our NIMs. So it is because of all of these products , our NIMs we expect them to grow. Last year they did get impacted because two high NIM businesses, unsecured as well as motor finance did n ot see a book growth I would say.
But that has started to change from the last quarter and it should get better. The other thing which I want to point out is sometimes we do not get a true pictur e of the NIM if we look at a 2 point average versus a daily average. While on a 2 point average the NIM looks flat, on a daily average shows a 10 basis points improvement.
So some of these fi gures and the run rate for Q4 is even better for us. So to that extent some of these num bers do not come out as clearly, but they do become visible when you see the income growth versus the average book growth. So as far as margins are concerned we expect them to improve in the coming year because quarter 4 also is better for us on margins compared to the full year.
As far as your other point Viral on non -interest income. While on the core fee side that has been showing a good trend for us both in terms of loan -linked fee or in terms of insurance cross -sell or syndication, all of those segments have grown very well for us. We have seen an impact on

mark -to-market on our investments and that is more so on the investments on the private equity side.
As you would know, March end saw a decline in the stock market and that impact was visible on our listed investments and some of the other investments because we do our valuation on a quarterly basis and multiples obviously came down for every industry virtually in March end.
We are not actually pertu rbed by it because we do belie ve that markets will come back. In some segments they've already come back. For the others we expect markets to improve and this will only give us an upside in the coming quarters.
Viral Shah: Got it, this is very clear. And Rajiv, if I may, can I ask one more question?
Rajiv Sabharwal: Sure, Viral.
Viral Shah: Rajiv, if you can give some more color from say an asset quality perspective across some of the other segments, I would say especially how the mortgage piece is behaving I would say now that the growth rates and the book is seasoning even more. And second ly with regards to say the bounce rates, what was there the bounce rates that you saw in the month of April? I know you said that overall level you don't see any stress, but would you want to quantify that and is it in within the normal ranges?
Rajiv Sabharwal: So let me cover Viral segment by segment, you'll get a better picture on the same. So as far as corporate and SME are concerned, there is no challenge which we are seeing. In fact SME is one sector which we review every week post this whole war issue which has come in. So we review all our clients to see whether there is a

ny stress.
We've not observed anything which will give us or alarm us in any way. So to that extent I would say we've seen no stress build up or anything happening on corporate and SME and we believe that we hardly have any credit costs there and we expect the same t o continue in the future too.
As far as housing is concerned, which is the largest segment for us, the housing finance company, our credit costs for the year have been 10 basis points and in fact if I look at the trends, I see no reason why things should be any different going forward.
As far as retail is concerned, that's the place on the unsecured side w here we had seen stress in FY25. And there as we had mentioned before we started seeing a lowering of credit costs happening from Q2. Qua rter two was lower than Q1, Q3 was lower than Q2 and Q4 was lower than Q3. So in all of them we've seen an improvement and same is true for motor finance.
In fact we had a great quarter, quarter 3 was good, but quarter 4 was even better for motor finance business. Though in motor finance I would only say it's we need to watch for quarter 1 and quarter 2 because quarter 3, quarter 4 usually are better. But looking at our early indicators of the quality of book we've created, we do not foresee any significant impact. As far as your question on bounce rates were concerned, we were also concerned about it. And we looked at the numbers for the month of April and if I have to be very honest with you, actually we've seen a bounce rate coming down in April compared to quarter 4 of last year. So there are no signs .
As we have communicated before Viral, our approach on collections does not start from the

stage when the bouncing happens. Our approach on collections starts before the banking happens and from that perspective we are very focused on bringing down bounce rates. So if I have to tell you bounce rate s have been coming down quarter -on-quarter and that is where our focus is because if we can arrest it at the upfront stage, then I'm in a better position as far as collections are concerned to manage the flow forwards.
Viral Shah: Got it, this is very helpful. Thank you so much, Rajiv and all the best.
Moderator: Thank you. Your next question comes from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe : Hi, thanks for taking my question. Looking at your growth trajectory ahead, the single largest segment is home loans, which has grown at around 16% this year. S o given the fact that you're looking at around 23 % to 25% loan growth next year, with probabl y the share of retail going up?
I would expect that home loans, being the largest segment probably needs to grow at a faster pace than where it is today. We do understand that personal loans and business loans will probably accelerate given the momentum that we are seeing, but what kind of a loan growth do you really see for home loans and why is it sort of in mid -teen levels right now?
Rajiv Sabharwal: So let me cover it in parts, Nischint. You know we look at home loans in some distinct segments. One is obviously the prime loans, both home loan and prime LAP. The other is affordable housing and the third is micro housing. And if we look at these produc ts, our prime home loan

and LAP is growing at 21% plus.
Our micro housing is growing at over 50% and our affordable housing is growing at close to about 25%. So these are very healthy rates for us. In fact over the last, I would say, 6 months and also as per our plan for next year, we are adding a fair number of branches or going to more locations I would say for affordable housing and micro housing and we expect these segments to grow more.
Our approach as far as housing is concerned is to also look at a new segment which we're getting into, which is the near prime segment because we do not want to c

ompete at the 7.25 % and 7.2%
rates being offered by other players. Our approach is to m ake the near prime bigger , grow you know make the affordable housing even bigger and make the micro housing also bigger . So that we can get the right NIMs along with the right credit costs. Anyway, the operating efficiency is kicking in virtually every year and y ou're seeing an improvement and we do believe that we have an opportunity to further improve it using all our initiatives on technology. So, you will see a bigger increase in each one of them and that's our plan for the next year.
Nishchint Chawathe: Got it. And within the housing finance subsidiary, what would be the ratio of home loans and LAP? I believe you need to have around 60% home loans ?
Rajiv Sabharwal: So, we are, the ratio is 60%, so we are closer to about 61 %-62% in that range. We are between 61% to 62%.

Nishchint Chawathe: So, I believe that incrementally the growth in home loans and LAP should be at a similar proportion when if assuming that you need to maintain the same 60 %-61% going forward. Now this year growth in home loans was around 16%, LAP was 36%. So, you know probably need to catch up on home loans, right? I think that's what I was kind of coming to.
Rajiv Sabharwal: Correct. You're right. And there within that also our effort will be to grow affordable housing more. That's was the only other point, but I take your point on the first thing which you mentioned. I was only clarifying where we want more growth to happen.
Nishchint Chawathe: Fair point. No, I think the point I was coming to is that is it something that you're seeing more BT outs which could be arrested or is it something that you probably need to expand more to really scale that up? I think that's what I was kind of coming to .
Rajiv Sabharwal: So Nishchint, what happens and you know this market well, you've seen this for a very long period of time, whenever the rate drop happens, the pressure on BTs increases. And when the rate drops are not there or rate movements are less, the BT pressure reduces. So last year the BT pressure was very high. While we lost portfolio also, we did gain a portfolio where BTs came to us.
So, it was true on that, but what we have what we are looking at in FY27, one we do believe that the BT pressures will be lesser in FY27. And the other thing is we are very focused on doing our bit on originating more. So, we are expanding to more branches because today while at Tata Capital we may have ~1400 branches, within housing finance we are there in just short of 400 locations.
So, we have ample opportunity for us to also geographically expand, which we are doing. The work started six months back and you will see the results of the same. It started to show in March and they will continue to show in future. So, it'll be more throu gh geographical expansion and also, we believe less pressure on BT in FY27.
Nishchint Chawathe: Got it, this is helpful. And just on as you move ahead from April to May and so on, are we sort of seeing any tightening in the screens the way the overall macro is and I think I think you pretty well highlighted some of the challenges in your opening com ments. Are you sort of tightening the screens, would you kind of say that maybe for a quarter or so the pace at which your unsecured book is growing you may want to kind of mellow down a bit or I mean I understand the data points are ver y clear they're not showing anything but given the way the overall macro is are you sort of taking a pause before leaping ahead or business just rolls as it is?
Rajiv Sabharwal: No, so Nishchint, our approach is as follows. One, we look at what's happening in the market. As I mentioned to you, our risk, credit, and business teams virtually spend every week time on reviewing how things are progressing. The biggest segments which w e are looki

ng at is the SME
segment and the commercial vehicle segment, how they pan out especially if the fuel rates also go up, they may impact commercial vehicle segment.
So, what we have done right I would say a month back or so is looked at in which sub -segments of this we should tighten our approach, meaning either look at lower leverage or look at higher

credit score or look at tighter scorecards. So, we've looked at in within MSME in which sub -segments we should do so and that communication has gone to the credit team.

So, the approach is that we should tighten our norms in these sub -segments, for the others we should continue to watch but continue to also grow. So, at the moment very difficult for me to say whether we will see an impact on the overall growth or not beca use we are also expanding geographically. So, we are hoping that if we do lose out because of tightening, we will also gain because of geographical expansion.

Nishchint Chawathe: Got it. And just last one, even on construction equipment, I think you seem to have tightened a bit right this quarter, or is it just too much reading into numbers?

Rajiv Sabharwal: See when I Nishchint talk about commercial vehicle, for me I look at commercial vehicle and construction equipment together in a similar with a similar lens because there's a fair amount of overlap between the two. And so, we look at that segment because both are earning assets and both there is a fair amount of overlap in customer segments also there.

Nishchint Chawathe: Sure, got it, got it. This is very helpful. Thank you very much and all the best.

Rajiv Sabharwal: Thank you, Nishchint.

Moderator: Thank you. Your next question comes from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Yes, hi. Thank you for the opportunity and congratulations on a good set of numbers. I had two questions. My first question is on the personal loan and the business loan segment. So, the GS3 numbers that we've shown in our table over there, exactly going back to the point sir was making that there are certain sub -segments probably you are looking to be slower in. Fair to say that probably PL and BL would be one of those segments? Qualitatively if you can make comments around which kind of customer segment or business profile are we seeing stress or are we continuing to see stress o n?

And my second question is on the fee income, just a clarification over here. Your fee income for the corporate book would obviously be at a lower rate versus say if your SME and your retail book would have grown, right?

Rajiv Sabharwal: Correct. But the corporate book fee not only comes from the loans but also comes from syndication. So, I won't say that it is lesser.

Shreya Shivani: Right. Because it seems like that has slowed down a bit for fourth quarter. So, I just wanted to understand is it because the corporate saw the retail probably didn't grow as fast or how should I understand the fee and commission line item?

Rajiv Sabharwal: Sometimes what may happen is you may have a some amount of peaking which may happen, that may also lead to as a percentage to a different number, but if I look at our overall fee it is the same in quarter three versus quarter four. It was about 1.1% and s till remains 1.1%. So, it is the same, the trend is the same as far as fee is concerned. So, we've not seen a drop.

Now what was your first question was PL, BL sub -segments? So actually, you know, our PL and BL are two distinct segments. PL is largely to salaried employees and BL is to self -employed segment. And in each one of them actually we've seen a drop in slippage s and if you notice our slide 16 it actually shows that the slippages in PL are much better because PL is a segment which had suffered more as you would remember two year

s back than the BL segment. So, the visible more visible improvement is in PL also .

So as far as sub -segments within that are concerned, we have a huge number of sub -segments which our risk tracks on a regular basis. As I told you nothing at the moment is showing but segments like hotels and travel related these are the areas where we hav e tightened a bit on our policy , as I was mentioning to you , in the MSME segment .

And you know it's always a moving thing because it's not only we need to watch out for the primary impact but the secondary and the tertiary impact which is there because of this war also keeps surfacing as time progresses. So, it's something which we anti cipate, but we also look at what is happening on the ground and if there is something more to be done, the whole idea is how quick can we be in communicating and taking an action on that.

Shreya Shivani: Right, that makes sense. Just one follow -up on your branch strategy and your disbursements per branch, obviously with the kind of addition that you had done over the past three years, it was on a declining trend. Optically it looks that it has picked up t his year, but is it fair to say that the retail disbursements as per retail branch has picked up or this is just looking optically better because your corporate and other book has scaled up quite well? Will the trend be, are you still increa sing on the retail disbursement per branch?

Rajiv Sabharwal: So, if you look at the year which just went by, we did not add too many branches on the retail side. And that will obviously with our disbursements growing, it will always mean that per branch our numbers have gone up. Our approach over the last year whic h we had stated before was that our we may not have all products present in all branches. So, our effort before we add new branches would be how can we populate more products in each branch so that we can leverage on the cost which we've already incurred for the branch.

Going forward also while we are expanding, we first look at can we get in the branches more products before we physically expand. But we will you know we didn't add new branches in any significant way in FY26, but in FY27 it will not be the pace which we h ad done over the last three years, but it will be a reasonable number of addition to our branch network I would say going forward. So, we can expect a 10 to 15% increase in our branch network.

Shreya Shivani: Right. And sir in your branch in your branches your 350 housing branches and the remaining 1,477 total branches, the products can overlap, right? Some of the retail products can be present in the housing loan branches, right?

Rajiv Sabharwal: Yes. This is exactly what I am saying. Rather than going to new locations we are adding more product in each branch which is also helping us on the operating efficiency.

Shreya Shivani: Right, this is very helpful. Thank you and all the best.

Rajiv Sabharwal: Thank you so much, Shreya.

Moderator: Thank you. Ladies and gentlemen, we request all the participants to limit their questions to one each per participant and rejoin the queue for any follow -up questions. Our next question comes from the line of Avinash Singh from Emkay Global Financial Serv ices Limited. Please go ahead.

Avinash Singh: Yes. Hi. Good evening. Thanks for the opportunity. Rajiv, I mean, if I look at the FY'28 guidance on profitability, that's a 60 basis point movement from where we are today. Now, broadly, 25, 30 basis point, it seems you are explaining from the cost to income and where today our credit cost is flat.

So, that kind of leaves nearly 50 basis point to be explained by you know, margins. And that is where you are kind of also alluding to the unsecured product increasing. Now, here are a couple of ques tions.

I mean, if you look at the credit cost side today, I mean, our housing is at

10 basis point. Now,
if you go more into, you know, the affordable and near prime, is that 10 basis point looks kind of a sustainable. Of course, there is going to be overall bene fit from you on the motor vehicle side.

But then when you are going to increase this unsecured piece, that kind of will start to balance out. So, then at the aggregate level, where the direction you are taking, I mean, in the housing as well as in the unsecured side, this kind of, you know, cred it cost is that kind of, you know, manageable because that's kind of an event for a diversified lender like you. Pretty, under 1% is kind of not seen in, you know, the non -banking financial side ?

And secondly, related to that only, your opex, I mean, if you kind of for the area you want to grow more, whether it's a housing or unsecured, again, these are relatively more opex intensive. So, I mean, so you're already pretty efficient in cost to income . You still think that, okay, this improvement is kind of doable?

Rajiv Sabharwal: So, Avinash, let me cover this. So, what we try to do is get into as much detail as possible. So, if we give out a number, we have very strong basis on which we are giving out those numbers. That is all, that is where our, you know, effort goes in. So, let me cover each of the points which you mentioned about. See, if you look at our history and, you know, you look at before this unsecured, increase in unsecured credit cost went up, our credi t costs were always in the range of about 70 basi s points or so.

So, despite, you know, all of what used to happen, you know, it may be 10 basis points here or there, but they were in that range. It did increase, one, because we saw higher costs in the industry happening on unsecured, and two, because of the merger of T ata Motor Finance and Tata Motor Finance had higher credit costs.

So, even if you look at the F Y26 numbers, our credit costs are 1.2%. Now, based on the nature of portfolio which we have, the high amount of mortgages, the low amount of unsecured book which we have, we do believe that the right credit cost for us would be some 1% and which is the guid ance which we have given. So, that means 20 % to 25% we can still shave off and still

that credit cost will be higher than what we used to have earlier of closer to about 70 basis points. So, we do not believe that there is a number which we can't achieve. So, that gives us an opportunity to bring down credit cost by that much number, 20 to 25 basis points.

As far as operating cost is concerned, you are seeing the advantage which is coming because of scale and because of use of technology. I did mention that we are focused on using AI. In fact, our approach is this that virtually we want to train almost all o f our manpower to understand the advantage, manpower and womanpower to understand the advantage of AI.

And if you would talk to our team, everybody does believe that AI can make a huge difference. And because of digitization, AI and other things, we do believe that the estimate which we have taken on operating costs, if all goes well, we may be able to do e ven better than that. But at least I am sticking to only what we have communicated.

So, we believe there is an opportunity for us to bring down our costs by further from where we are by about 15 basis points or so. So, if you factor in the impact of credit cost and the impact of operating cost, that itself is about 40 basis points or so. And the balance will come from NIM plus fee.

And for NIM plus fee, it is happening because of the mix of products rather than us taking more risks in each business. I know you did speak about, you know, if you go to more unsecured or if you go to more affordable housing. Even if I go, you know, talk about more unsecured, actually, you know, we are today at closer to about 10%. Even if I increase it by another 2%, it will

not

be large. It will just be 12%, which will be lesser than what I used to have in my peak. So, the opportunity for me to grow with out impacting credit cost exists.

And second is on affordable. If you would remember, we have always said, for us, we are looking at the better quality of affordable. We are in terms of origination among the top in terms of different affordable housing companies. And we do originate at a s lightly lower cost, pick up a better quality because our cost of fund and our operating leverage allows us to do so. So, I hope, Avinash, I answered your question.

Avinash Singh: Yes, clear. Thank you.

Moderator: Thank you. Your next question comes from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Hi, good evening. Thank you for the opportunity. So the question is around the reconciliation of the LAP number. When I look at the LAP number above, it is somewhere in one of the slides above it's at around INR38,000 crores and the when I look at the Tata Capital Housing, it's at around INR17,000-18,000 crores. So just wanted to understand what is the difference between the two and why are we running two different LAP books? Secon d is you did mention about the opex, but with guiding for around 23 -25% kind of a growth levels in '27 -'28 or in the medium term, how do we look at opex growth or maybe opex to assets going forward in the next one - two years' time?

Rajiv Sabharwal: So if you would you know look at our LAP book, we do loan against property in both the books, the NBFC and the Housing F inance company. We feel it's a large market and in terms of portfolio quality, both the portfolios have done very well and we do believe that both these entities have an opportunity to do so. They are two separate teams which work on it.

We just ensure that credit policy on credit policies we don't compromise. So we want to stick to that strategy and want to continue to do so in the future too. As far as your question on opex to assets is concerned, if you would look at our guidance for FY 28, we have said that cost to income should be between 33 to 34% and we do believe that is achievable.

See what is happening now, if you look at NBFCs or banks also I think but in NBFCs 50% of the cost, close to 50% of the cost is people cost and the balance is the other costs. As you know, other costs are obviously a lot of efficiency is coming in them because of you know digitization, automation, using robotics or GenAI. So you are clearly seeing the benefits.

As far as people is concerned, what we are realizing that increasingly the only two places where we feel any significant addition on people will happen will be on sales and collections, rather than all functions, because a lot of automation is happening in the other areas. So that's the reason which we believe will drive these benefits on cost to income or cost to average assets.

Shubhranshu Mishra: If I can jus t have one follow -up question o n the LAP, if we were to book up a LAP today, how would we decide whether it gets booked on the NBFC book versus the HFC book? And the way I look at it, this is a duplication of costs and team at both the places, right? Having two separate teams, having tw o separate policies, so if you could just take this up, thanks.

Rajiv Sabharwal: So Shubhranshu, as far as policies are concerned, you know the overall risk team at Tata Capital also oversees the risk at Tata Capital Housing Finance. While there are dedicated people for risk in Tata Capital Housing, but Tata Capital risk team oversees that. So we do ensure that there is no arbitrage on the policy side also.

As far as booking is concerned, we have two separate sales team and two separate credit teams. Even the operations is separate. So completely distinct operations. So what is originated by one is booked by one, what

is originated by the other team is booked by the othe r team. And so to
that extent as far as training is concerned, we ensure that similar training is imparted. So from a risk and the credit side we ensure ensure uniformity there, but in terms of origination there are two separate teams.

Shubhranshu Mishra: So in Bombay both the teams are operating or maybe in Guntur both the teams are operating, or we have distributed the geographies?

Rajiv Sabharwal: No, there are overlapping markets, there are some distinct markets also which exist because the number o f locations they are present could be different for the two teams. But yes, in certain locations they will be there in both the areas.

Shubhranshu Mishra: Understood. I have a few other questions. I'll take them off line. Thank you so much, best of luck for ensuing quarters.

Rajiv Sabharwal: Yes, just a minute. I think my colleague Sarosh who heads the Housing Finance C ompany wants to add.

Sarosh Amaria : Yes, just one thing I would like to mention out here that in the housing finance company the team which sources the home loans is the same team which sources the LAP also. So there we have a very strong productivity improvement , because at times you have a self -employed customer, you have a salaried customer and at that point of time your productivity improves because you can go in for multiple loans for a particular customer.

So from that perspective also and what Rajiv added, it makes a lot of sense for the same team which sources the home loans to also look at LAP because it improves the productivity on the field.

Shubhranshu Mishra: This was really great. Thanks. I'll still take a few questions offline. Best of luck, thanks.

Moderator: Thank you. Your next question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes, hi Rajiv, just two follow -ups on what you have shared with us in this earnings call. Firstly is, a couple of times you mentioned that we've not seen anything alarming in either SME, CV, or unsecured PL and BL segments in the month of April, which is very good to hear, but just wanted some more nuance around this. When you speak to the field teams, are they telling us that the customers, the businesses, the SME s that we serve, they're not impacted by the war at all, their businesses are not impacted by the war at all ?

Or is it that there are already some impact first -second order impacts that have started coming now but just that the customers are maybe resilient and they've been paying their EMIs in the month of April just like we saw in the month of March as well? So that was my first question. And yes, sir you want to go ahead, please.

Rajiv Sabharwal: No, Abhijit, what I wanted to say is that, you know, the way to look at it is , two ways. One is where certain markets you see you hear about, whether it was Morbi or whether it was Surat or certain markets which come into the news where you look at those things.

The first thing is to talk to those business as well as collection teams in those markets to see whether we've had any impact. And two is to look at generically on the portfolio what are you seeing , when you are getting feedback from your own teams who are talking to the clients. There are obviously customers which me or my colleagues also meet on a regular basis to get a sense from them.

So based on the feedback from all of them, the view which we have ascertained , one is this that all entities, you know all SMEs have a linkage to large companies. And in almost all of them, they have been supported by the larger company in terms of helping them out in sourcing of raw material and so on and so forth. And that has not led to a situation where your businesses have shut or anything of that nature has happened.

What has happened in certain cases is depending on the product, the raw material costs have moved up. But wherever raw material costs have moved up, what people are saying is that they are able to pass on those costs. So you will obviously see an impact on the inflation side because of all of that.

As far as those specific markets for Surat and Morbi which came into the news which we have looked at, there we looked at you know both our bounce rates or our collections, as I mentioned to you in April actually we have not seen any impact and the way thi ngs are moving April is looking almost as good as March.

Abhijit Tibrewal: Got it, sir. This is useful. And then the other follow -up I had is earlier in the call you had shared and guided that FY27 you expect your cost of funds to be lower than in FY26. So I'm just trying to understand you also acknowledge this and a few other l arge NBFCs that we speak to have

acknowledged that March particularly the cost of borrowings were significantly higher than the portfolio cost of borrowings.
So do you think March was an aberration of sorts and because of some tightness in liquidity the cost went up and then in April have they reverted back or in April the cost of borrowings are at similar levels as in March? And subsequently if incremental cos t of borrowings are coming in higher than what we saw until , let's say , Jan-Feb, then what is it that is telling us that cost of funds in FY27 can be lower than in FY26?
Rajiv Sabharwal: So, Abhijit I'll say , we should break it up into two parts, the stock and the incremental. If you look at the stock per se, when the interest rate started dropping, the benefit started accruing over the year. It is not that every lender or every borrower's cost of fund is linked to 100% to repo rate and it changes immediately as repo rate changes.
So there is , for example , if you have already raised 3-year NCDs, when you will replace them with a fresh set of NCDs when the previous ones mature. So on maturity , the incremental cost will determine your cost of fund. So that is one. So based on the same, we do believe that moneys which have been raised in FY26 or some part of FY25 will keep running for FY27 and may not need to be fully replaced and they will remain at the lower cost because they are fixed rate borrowings. Okay .
So, one is this whole stock versus incremental logic and what will change for you is incremental and not the stock. The second is as far as your other question on March , yes, March did see an increase. However, when you talk about April, in April the short -term costs have come off while the long -term costs have still not come off compared to what they used to be in December - January. So that's the way I will put it.
Now how they will shape up in the coming months, we will need to watch. But based on what we have as of now and based on our assessment, that's the number I gave to you because of the stock and incremental. And however we continue to watch. As I said alway s that if we feel that cost of funds will grow or cost of funds will come down, we will also have to pass it on or take it.

Abhijit Tibrewal: Got it , sir. That's all from my side. Thank you very much for patiently answering my questions and I wish you and your team the very best.
Rajiv Sabharwal: Thank you so much, Abhijit.
Moderator: Thank you. The next question comes from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Yes, thanks. So most of the questions have been answered. Just a couple of things. Firstly in terms of the corporate lending, if you can just let us know the profile of it, at what yield it is happening compared to that of the overall book yield, and what wou ld be the average maturity of this portfolio? That would be helpful.
And secondly as you indicated , maybe any which ways there were some

of the industries which
you are closely monitoring, but if you can quantify in terms of maybe there would have been the red, amber, and green, and what would be that proportion within the overall SME pool which is getting closely monitored or which are vulnerable to some of the higher input prices or the energy -related sensitivities or the exchange volatility? That would be really helpful within the overall SME portfolio as well as the othe r portfolio. Yes, thank you.
Rajiv Sabharwal: Thanks , Kunal. So as far as corporate is concerned, corporate has three parts to it. One is clean energy business which we do . Second is the opportunistic corporate lending which we do, and the third is some part of developer funding which we do there. So , if I have to talk about this , then as far as quality of portfolio is concerned, whether it's developer funding, whether it's clean energy, or the opportunistic corporate wh ich we do , when I say opportunistic, we do not look at plain vanilla funding in corporates where we will be competing with banks.
We look at lending to very high rated corporates . They may be AAA or AA sort of corporates where we may have an opportunity to lend. It could be short -term which could be 1-year, it could be long -term which could be 3 to 4 years typically. So that is what we look at there on the corporate side.
Kunal Shah: Sir, the question was Yes maybe I understand in terms of the segments which we operate . I just wanted to know which segments are driving this growth if there is like say the increase which has happened in the overall portfolio of almost INR15 -odd thousand crores over last 1 -year, or say INR5 -odd thousand crores in this quarter, which particular segment is driving this growth?
Rajiv Sabharwal: So it would be well spread out. I would say , it's there in clean energy , where there is a lot of demand for credit , where new projects are coming up. It's there in developer finance and it is there in - you name probably the top 10 corporates of the country and half of them will be there.
So I don't want to name clients, but there is growth happening in all of these areas.
As far as yield is concerned, our approach is slightly different there. What we look at is return

on assets rather than yield. While any other business may give us a higher yield . In corporates , the yield may be more closer to maybe 11%, in developer it may be more closer to 12 %-13%. But more important , their return on assets is very good. They are all sort of 2.5 and above.

Can be much higher also depending on the opportunity and the tenor and the fee which you get on the transaction. So our approach is to look at ROAs which are strong there and that is how we measure it rather than just looking at the rate because the opex is pretty low in these businesses.

As far as your other question on red and amber and this , so actually everybody defines red, amber very differently. It's just that when we reviewed it and if red means we expect this client to move to a delinquent position . When I say delinquent , I'm not talking about just 90 plus, even if will it move to a 30 to 60 or 60 to 90, we did not see because of war any such client in our book.

However, there are clients which we want to watch more closely . But we do not expect at the moment based on our assessment any of those clients in the SME sector to move forward on the , I would say, th ose buckets.

Kunal Shah: Okay. So, in quantification, that would not be large out of this INR75,000 crores of SME . What we are watching closely, that would not be a big pull?

Rajiv Sabharwal: No. See, because the biggest segment for us is supply chain, for example, which is a 60 to 120 day funding.

Kunal Shah: Got it, Yes. That answers the question. Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Purohit from System

atix . Please go ahead.

Gaurav Purohit : Hi, good evening, sir, and thank you for the opportunity. My question is around the Motor Finance business . So, there was a legacy borrowing of around INR25,000 crores -INR26,000 crores in FY25. I want to understand how much of that has already been repriced and what proportion is pending after the merger? That is question number one.

And second question is around the underwriting changes that you have made in the Motor Finance business post the merger, particularly around risk filters and maybe the rejection rates that you are seeing there because of the changes, the pricing discipline that you are trying to imbibe there and if you have made any changes in the dealer incentive structure. So, these are the two questions. Thank you.

Rajiv Sabharwal: So, Gaurav, as far as both the questions are concerned, one, as far as repricing is concerned, that activity we completed in the first few months of the merger. For that, we didn't take much time. The only place where I would say it took maybe 6 to 8 months was where the reset date was after that period.

But wherever we didn't have challenges on the reset date, either we repriced or we repaid it and borrowed it afresh from someone else at a lower rate. So repricing is all done during the last financial year FY'26, or I would say 95% would have been done. A nything which is left would be only because the reset date is different; otherwise, it is all done.

As far as underwriting is concerned, a lot of changes were made in the underwriting policy in a number of ways. The policy changed, we looked at scorecards . We got certain people from outside also on the credit underwriting side. So , yes, we ensured that credit and sales were made distinct so that the purity of the function is respected.

Plus, we introduced a fair amount of analytics so that we can detect things early if there is any challenge. So, while delinquencies may take a longer time to come, but we monitor everything. We monitor right from bounce rates, the average score at which w e originate, the 30+ at 3 months, 6 months, 9 months, 60+ at 12 months, and so on and so forth. We do a fair amount of monitoring on this, which makes us feel good about what we have originated over the last, I would say, 15 to 18 months.

As far as rejection rates are concerned, actually, we are not a big fan of this whole thing called rejection rate because it really depends on how you measure it. Our whole objective is at the front end, can we put in certain controls that things which are definitely going to get rejected, we don't even allow them to come into our system so that the sieving happens at the front end. And if the sieving happens at the front end, then your rejection rates could be different from the overall rejection rates. So effort of the team there is to put a sieve as early as possible and measure it more by what you are seeing on the book in terms o f bounce rates or early 30+ and so on and so forth.

Gaurav Purohit: If I can squeeze in one more follow -up question?
Rajiv Sabharwal: Yes.
Gaurav Purohit: So sir, this year has been basically you have de -grown the motor finance book. So what is the kind of message that you are passing to the dealers or your sales people are passing to the dealers given that a lot of churn would have also happened in the fro nt-end teams after the merger, like you said you had rationalized manpower.
So in terms of market share, how do you see that progressing because there is already a lot of competition at the dealership? A lot of the peers are also giving trade finance to support their volume. So how do you see the entire situation and would you be doing trade finance too just to gain market share?
Rajiv Sabharwal: So, Gaurav, I completely admit the market is very competitive. Actually, there is no product in India in f

inancial services where you don't see competition. Our approach is very simple that look, as far as risk and credit is concerned, we will decide what we want to keep on our books and what we want to originate. The sales team will have to work harder to originate based on that quality which we want.
For us, in the Motor Finance business, actually our volumes had gone down even before the merger had happened. And if you look at from the last April -May, we have only been growing now. So what dealers are seeing is that the phase of the volumes going down , the monthly volumes going down is over. Now for the last 6-8 months, they are only seeing incremental

increase in volumes. So to that extent, what you were saying is history for us. Now the current new history is that we are growing.
As far as our approach towards dealer finance or giving credit to channels are concerned, we do it purely based on merit. We have been in this business of providing credit to dealers for the last 10 years plus. Even when we were not large in commercial vehicles, we still were providing dealer financing. It is a business; supply chain financing is a strong business for us.
So, we basically are leveraging the same to do more of retail business. So , if it merits that we support retail business by providing trade finance, which we believe is also profitable for us, we will definitely look at those opportunities too.
Gaurav Purohit: But that would be slightly margin dilutive, right sir?
Rajiv Sabharwal: No, if you look at the channel finance business, our current channel finance business gives us a yield of 11% plus . And that is usually a, I would say, 60 to 90 -day business. So if you look at the margins in that business for liabilities of that profile, there is no reason why we will not make very healthy RO As. See, it's a portfolio yield. There will be dealers whom you will be offering a slightly lower rat e. There will be dealers to whom you will be offering a slightly higher rate also.
Gaurav Purohit: Got it, sir. Thank you for patiently answering my questions and all the best for the future.
Rajiv Sabharwal: Thank you so much, Gaurav.
Moderator: Thank you. The next question comes from Advait from Go Digit Life Insurance Limited. Please go ahead.
Advait: Most of my questions have been answered. Just one question on our FY28 guidance. So for FY28, we have guided for an ROA band of 2.5% to 2.7%. I understand that the cost -to-income would play a crucial role in us meeting that guidance. So in that context, just wanted to understand if you could give some color on the levers that we are looking to bank on , to bridge the gap between the current cost -to-income versus the target by FY28 ?
Rajiv Sabharwal: You know, one is we mentioned that we want to leverage our existing branch infrastructure more efficiently to get more products in per branch, which will help us. Two is, which is something which we religiously drive within the organization, is to look at how we can digitize more, how we can use data more, how we can use unstruct ured data more, and now it is all getting ingested more through Gen AI.
So a lot of projects on that side which we are doing which are helping us. And third is clear benefit of scale. As your scale improves, that also leads to benefit on our cost to average assets. So it is going to be all of them, but I would say the biggest is obviously technology, digitization, and now increasingly more AI being used.
Advait: Got it, got it. That's helpful. And just one quick follow -up. So initially you gave some important color on our loan book mix and how we are looking at respective chunks of our book in terms

of asset quality and all. Just one slightly forward -looking question. If one observes in the past few months, there is some fair degree

of layoffs in IT services space.
So in that context, from our prime to semi -prime home loan book, I wanted to understand if we are tracking any particular early warning indicators , or how we started to price in this particular risk while doing incremental disbursements, how we are looking at it ?
Rajiv Sabharwal: So if you look at our approach there, one this is not something new . This is something which has been spoken about for the last, I would say, 12 to 18 months. And right from that stage, we had put some enhanced due diligence for this segment and we have been following that.
The other is, a lot of the, I would say, layoff or whatever we call that by, has been there for larger companies, I would say prime companies, where probably loans have been given out at a single - digit or close to singl e-digit. And we do not have a very high presence in that segment per se. That is where I would say most of the larger banks would be present in.
So when we have looked at our personal loan portfolio, which would include all salaried employees, that's a number which I had referred to earlier also , that our bounce rates have been coming down . And that's the first indicator of what's happening.
Advait: That's helpful.
Moderator: Thank you. The next question comes from the line of Omkar Shinde from A Capital . Please go ahead.
Omkar Shinde: Hi, thank you for the question and the opportunity. I just have one clarification and one question. First is regarding the average yield that you have given in the annexure. That is the AUM yield or the disbursement yield?
Rajiv Sabharwal: AUM yield.
Omkar Shinde: So the AUM yield has dropped by say 90 basis points during the year. So the question related to that is, I mean, you mentioned that we saw a little bit of tightness in the market during April and early part of May or early parts of March, and because of which incremental borrowing costs are higher. But the regulator, RBI, NHB, they are all behind HFCs, NBFCs to pass on the rates and move the cost towards the customers.
So, my question is twofold . One is how much of the book is fixed or floating? Because if it is external benchmark linked floating book, then we can easily move the needle on the pricing and therefore not get impacted too much by the cost of borrowing. That is part one.
And what is giving us the confidence? Because for example, if even our affordable housing book is at slightly better customers of the affordable segment, then with one of the peers that had recently announced results was somewhere in the region of 11.5% in cremental yields, are we in that same ballpark or are we slightly higher? Because structurally if the yields are going down, then will it be possible for us to maintain better ROAs or even increase the yields if there is a requirement?

Rajiv Sabharwal: So, as far as yields are concerned, two things there. That one, you know, one should look at yield as well as the drop in cost of funds. So both should be looked at together. And what we are seeing there is while cost of funds are also coming down, we are pas sing on the benefit , so the yields are also coming down.
But the other point which I had mentioned to it earlier, which probably comes out more clearly, is this that when you look at the two -point average versus daily average, on a daily average, we are seeing that the drop in yields is not more than the drop in cost of funds. While on a two -point average, it looks more than that.
And that's the reason your net income will increase at a faster pace than your average book. So, yes, there is a pass -on of yield which is happening because of interest rates coming down, but so is our cost of funds. That is also coming down. Sometimes a daily average gives a better picture than the two -point average. So that's on margins.
But the other point which I want to say i

s that what we had mentioned earlier, that we are trying to increase the mix of products towards more high -yielding products, which I would say would be very different in FY27 over FY26 because in FY26 our unsecured book did not grow any significantly. But since the disbursements have started to grow, you will see the book growth happening in FY27. And the second thing is Motor Finance also, which is a high -yield book, was de -growing in FY26, which will not happen in FY27.
Sarosh Amaria: Omkar, I could just add here that in the housing finance, and particularly the affordable, more than 98% of the book is floating. One thing which I would like to speak about here is the yields that you spoke about on our affordable segment is for the last financial year is around 12.10 on the book.
And our NIM plus fee, which was in the region of 6.7, has improved to 7.6 in this financial year.
So we have been only able to grow our NIM plus fee in the affordable housing finance business.
Rajiv Sabharwal: So and to just add on to what Sarosh mentioned, if I look at my greater than 1-year liabilities which have tenors of more than 1-year, and if we look at the proportion of that and the proportion of our assets, basically they are more or less same on fixed and floating.

Omkar Shinde: Understood . That's good to hear that I mean both the NIM plus fee and the floating -fixed is good and our yields are also materially higher compared to the peers . Great . That gives me great clarity.
Rajiv Sabharwal: Thank you, Omkar.
Moderator: Thank you. The next question comes from the line of Vikram Subramanian from Marshall Wace . Please go ahead.
Vikram Subramanian: Hi, sir. Thanks for taking the question and congrats on a good set of numbers. Very glad to see the growth and the asset quality turnaround. Most of the questions have been answered, just wanted to clarify a little bit more on yields, specifically because you mentioned the daily and the two -point average couple of times. Just to clarify, on both yields and on cost of borrowings,

or on yields, the daily average is a materially higher number than the two -point average. This is what you are mentioning, right?
Rajiv Sabharwal: Yes.
Vikram Subramanian: While on cost of borrowings, it is not as much of a delta. Is that the right understanding?
Rajiv Sabharwal: No. There is obviously on yield the delta is higher than cost, but the delta exists in both places.
Vikram Subramanian: Yes, exactly. So , on a daily average basis, the yield fall is much lower than the cost of borrowing fall?
Rajiv Sabharwal: Correct . Yes, yield fall is lower than the cost of fund.
Vikram Subramanian: Got it . So just extrapolating that mathematically , I know it will be difficult to quantify , but just asking directionally , if I extrapolate that just mathematically, 1Q or 1H yields should see a reversal immediately just based on that. Is that the right understanding?
Sandeep Tripathy : Vikram, can you come back on the question once more? It's not very clear.
Vikram Subramanian: Because the daily average of yields is higher than the two -point average of yields, 1Q yields on a two -point average basis should be better than 4Q yields, right? So meaning I'm saying there should be a reversal in the two -point average number immediately, assuming everything else remains the same. Obviously, we have just started 1Q, but assuming everything else remains the same, that's how it should move, right?
Rajiv Sabharwal: Yes.
Vikram Subramanian: Got it, sir. Just wanted that clarification because there is just quite a bit of movement, but also your explanation was quite concise on that, but just wanted to clarify it a second time. Thank you.
Rajiv Sabharwal: Thank you.
Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference ove

r to the management for closing comments. Over to you, sir.
Rajiv Sabharwal: Thank you so much and thank you everyone for joining the call. I think from our perspective, a lot of good things happened in FY26 and we were happy that we could meet all the guidance which we had given. In fact, the way we ended the last couple of quarters, we do believe that the opportunity for us to grow and to move towards our guidance in FY28 is very strong.
In between, this whole thing o n the war has happened , we do believe that in certain segments we need to be more cautious and we are already doing so. But despite that, we believe because of our presence in almost all products and opportunity to add some new products too, plus the opportunity to expand geographically, we are well placed to meet the guidance which we have given. Thanks everyone for the faith which you have placed on us . And I just want to tell you that we are all working towards keeping up th at faith. Thank you so much.

Moderator: Thank you. On behalf of Tata Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note
This transcript has been lightly edited for clarity and accuracy.